



HINDUSTAN COPPER LIMITED

(A Government of India Enterprise)

AUDITORS

M/s. K B Chandna & Company, New Delhi

M/s. Ray & Company, Kolkata

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BANKERS

State Bank of India
State Bank of Bikaner and Jaipur
United Bank of India
Indian Overseas Bank
Punjab National Bank
State Bank of Hyderabad
Syndicate Bank

REGISTERED OFFICE

'Tamra Bhavan'
1 Ashutosh Chowdhury Avenue
Kolkata-700 019

BOARD OF DIRECTORS



M. Samajpati



Ajita Bajpai Pande



S. K. Mittal



K. D. Diwan



R. C. Singla



Anupam Anand



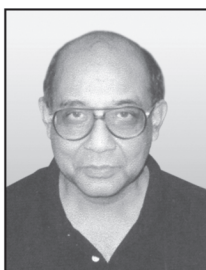
Arun Kr. Mago



S. K. Banerjee



Michael Bastian



S. Hazarika



Mukesh Khare



NOTICE FOR ANNUAL GENERAL MEETING

Notice is hereby given that 42nd Annual General Meeting of the members of Hindustan Copper Limited will be held on Wednesday, the 30th September, 2009 at 3.30 pm in the registered office of the Company at 'Tamra Bhavan' 1 Ashutosh Chowdhury Avenue, Kolkata-700 019 to transact the following business :-

Ordinary Business

- 1) To receive, consider and adopt the audited Profit and Loss Account for the year ended 31st March, 2009, the Balance Sheet as on that date together with the Directors' Report, Auditors' Report and C&AG's comments.
- 2) To appoint a director in place of Shri Arun Kumar Mago, who retires by rotation and is eligible for reappointment.
- 3) To appoint a director in place of Shri Sakti Kumar Banerjee, who retires by rotation and is eligible for reappointment.
- 4) To fix the remuneration of the Auditors.

Special Business

- 5) To consider and, if thought fit, to pass with or without modifications, the following resolution as Ordinary Resolution :
"RESOLVED THAT appointment of Shri R C Singla as Director (Mining) of the Company with effect from 18.2.2009 in terms of Ministry of Mines' order No.10(4)/2007-Met.III dated 18.2.2009 be and is hereby approved."
- 6) To consider and, if thought fit, to pass with or without modifications, the following resolution as Ordinary Resolution :
"RESOLVED THAT appointment of Shri Anupam Anand as Director (Personnel) of the Company with effect from 5.8.2009 in terms of Ministry of Mines' order No.10(3)/2008-Met.III dated 14.7.2009 be and is hereby approved."

By order of the Board

Place : Kolkata
Date : 5.9.2009

C S Singhi
DGM & Co Secretary

NOTES :

- i) A member of the Company entitled to attend and vote at the meeting is entitled to appoint a proxy to attend and on a poll, to vote instead of himself/herself and the proxy need not be a member of the Company. Proxies, in order to be valid and effective, must be deposited with the registered office of the Company not less than 48 hours before the commencement of the meeting.
- ii) The Register of Members and Share Transfer Books of the Company will remain closed from 24th September, 2009 to 30th September, 2009 (both days inclusive).



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- iii) Members are requested to kindly notify immediately change in their address, if any, to the Depository Participants (DPs) in respect of their electronic shares, and to the Company at its registered office in respect of their physical shares, quoting the folio numbers.
 - iv) Members desirous of getting any information about the accounts and operations of the Company are requested to address their queries to the Company at least a week prior to the date of the meeting, so that the information required can be made readily available at the meeting.
 - v) Pursuant to Section 619(2) of the Companies Act, 1956, the Auditors of a Government Company are appointed or re-appointed by the Comptroller and Auditor General of India and in terms of Section 224(8) (aa) of the Act their remuneration has to be fixed by the Company in the general meeting. The appointment of Statutory Auditors of the Company for the year 2009-2010 is being made by C&AG of India. The Annual General Meeting may authorize the Board to fix up an appropriate remuneration of Auditors for the year 2009-2010.
 - vi) Members who hold shares in dematerialized form are requested to indicate their Client ID and DP ID numbers and those who hold shares in physical form are requested to write their folio number in the attendance slip which should be brought duly filled in for attending the meeting.
 - vii) Explanatory Statement pursuant to Section 173(2) of the Companies Act, 1956, in respect of Item no 5 & 6 as set out above is annexed hereto.
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ANNEXURE TO NOTICE

(Explanatory Statement pursuant to Section 173(2) of the Companies Act, 1956)

Item No. 5

Shri R C Singla has been appointed as Director (Mining) of the Company w.e.f. 18.2.2009 in terms of Ministry of Mines' order No.10(4)/2007- Met III dated 18.2.2009. It is now proposed to regularise his appointment at the ensuing 42nd Annual General Meeting of the Company in order to comply with the relevant provisions of the Companies Act, 1956.

Shri R C Singla is B E Elect. (Hons) and Post graduate diploma in Management (AIMA). He started his career in Hindustan Copper Limited (HCL) as third batch Graduate Engineer Trainee on 17.3.1973 at Khetri Copper Complex (KCC) when the plant was under erection and commissioning stage. He had worked in different capacities at KCC and later joined corporate office of the Company in Kolkata as DGM (Projects) and then elevated to the post of GM (Projects). He was then appointed as unit head of Khetri Copper Complex in the year 2007. Shri Singla has experience of over 35 years in technical matters. Shri Singla does not hold any shares in HCL.

None of the Directors of the Company, except Shri R C Singla, is in any way concerned or interested in the resolution.

Item No. 6

Shri Anupam Anand has been appointed as Director (Personnel) of the Company in terms of Ministry of Mines' order No.10 (3)/2008 dated 14.7.2009 and he joined w.e.f. 5.8.2009. It is now proposed to regularise his appointment at the ensuing 42nd Annual General Meeting of the Company in order to comply with the relevant provisions of the Companies Act, 1956



Shri Anupam Anand in M.Sc. (Physics) from BHU, M A (Public Administration) from Punjab University, Diploma in Social Work (DSW) from Calcutta University and passed Bihar Factory Welfare Officers' Examination conducted by Department of Labour, Govt of Bihar. Before joining HCL, Shri Anand worked for around 24 years in SAIL in different positions and rose as Chief Personnel Manager. Later in 2005, he joined as General Manager (HR) in MTNL. Shri Anand has extensive experience in all facets of Human Resource including HRM, HRD, Administration and IR. Shri Anand does not hold any shares in HCL.

None of the Directors of the Company, except Shri Anupam Anand, is in any way concerned or interested in the resolution.

Brief resume of directors who are retiring and eligible for reappointment furnished in terms of clause 49 of the listing agreement :

Shri Arun Kumar Mago

Shri Arun Kumar Mago, former Chief Secretary, Government of Maharashtra had been appointed as part-time non-official Director of the Company w.e.f. 7.1.2008 in terms of Ministry of Mines' order No.10(1)/2002-Met.III dated 7.1.2008.

Shri Arun Kumar Mago is IAS (1967), MSc (Physics), M. Phil (Social Sciences) and holds diploma in Management and Public Administration. Shri Mago retired in 2004 as Chief Secretary, Government of Maharashtra. Earlier he was Chairman, Maharashtra State Electricity Board and Mumbai Port Trust. Shri Mago has over 37 years experience in different capacities in the State and Central Government in several sectors which include energy, port, urban infrastructure, environment, forest and industries etc. Shri Mago is also independent director on the Board of Shipping Corporation of India Ltd., Yes Bank Ltd. and NHPC Ltd. Shri Mago does not hold any shares in HCL.

Shri Sakti Kumar Banerjee

Shri Sakti Kumar Banerjee, former CMD, National Aluminium Company Ltd. had been appointed as part-time non-official Director of the Company w.e.f. 7.1.2008 in terms of Ministry of Mines' order No.10(1)/2002-Met.III dated 7.1.2008.

Shri Sakti Kumar Banerjee is BE (Civil) from Jadavpur University, Kolkata, fellow and life member of Indian Council of Arbitration, Institution of Engineers, Institute of Directors, Society of Civil Engineers, and executive committee member of Indian Institute of Metal, Kolkata Chapter. Shri Banerjee has over 39 years experience in PSUs and Government organisations in chemical, fertilizer and aluminium sectors. Presently, he is Managing Director, PervCom Consulting Pvt. Ltd. and also independently on the Board of Manganese Ore (India) Ltd., Himadri Chemicals and Industries Ltd. and Techpro System Pvt Ltd. Shri Banerjee does not hold any shares in HCL.



REPORT OF THE BOARD OF DIRECTORS

The Shareholders
Hindustan Copper Limited
Kolkata

Your Directors have pleasure in presenting the forty second annual report of the Company together with the audited statement of accounts and auditors' report thereon for the year ended 31st March, 2009.

At the outset, you would be very glad to learn that your Company has been conferred the status of Miniratna (category -I) by the Govt. of India after being found to be meeting with the stipulated criteria for this classification.

1. PHYSICAL PERFORMANCE

The comparative physical performance of production and sales for the year 2008-09 vis-à-vis 2007-08 is as under :

Particulars	2008-09	2007-08
Ore ('000 tonnes)	2,983	3,245
Metal-in-concentrate (tonnes)	27,589	31,378
Cathode (tonnes)	30,036	44,734
CC Wire Rod (tonnes)	51,777	58,223
Sales (tonnes)		
Refined Copper	35,714	45,384
MIC	3,540	nil

The physical performance suffered on account of disruptions arising put of external as well as internal factors. Production of ore and metal-in-concentrate (MIC) was affected at Malanjkhand Copper Project (MCP) due to inadequate availability of equipment and poor grade of ore, besides water shortage to operate process plants at Khetri Copper Project (KCC) and MCP.

Cathode production suffered due to major overhauling work undertaken at ICC smelter for technological up gradation, capacity enhancement (from present 16,500 tonnes to 20,500 tonnes per annum). The smelter remained under shutdown on this account from April 2008 virtually till September 2008 after which there was gradual ramp up of production. Besides, due to steep downturn in world copper prices, operations at KCC smelter became unviable with imported MIC, and had to be suspended as from December 2008 onwards pending further review. Consequently, the Company could not attain its targeted production of cathode.

To address production bottlenecks and improve physical performance, your Company has worked out a strategic plan under which the following actions have been initiated :

- Mine development at Khetri & Koliha underground mines of KCC:* 42,000 metres of mine development together with production drilling over a long term period 5 years has been off loaded to outside agencies.
- Large scale excavation at MCP open cast mine:* Based on the recommendations of the mining consultant (M/s SRK Consulting, UK), Company proposes to outsource rock excavation of 320 lakh bank cubic metres to be completed over a period of 5 years whereby the life of the open cast mine will get extended till 2019 (against 2014 as at present) besides increase in production capacity.



- iii. *Reopening of closed underground mines at ICC:* Having successfully reopened Surda mine in the region through outsourcing business model, Company has initiated preliminary activities to recommence operations at Kendadih mine on a similar mode, which will also be subsequently followed for reopening of Rakha mine.
- iv. *Higher capacity underground mining equipment at KCC:* Mobilisation of one set of larger sized loader and dumper hired for use at Kolihan mine has helped raise production, and based on this experience, actions have been initiated to hire additional two sets of similar sized equipment on wet lease basis to further raise production.
- v. *Water conservation at KCC:* To improve process water availability in this water starved region of Rajasthan, a more effective form of re-cycling at the concentrator plant comprising 'high rate tailing thickener' (HRT) is being installed which will get commissioned by the 2nd quarter of 2008-09. Additionally, a proposal to install 'thickened tailing disposal (TTD) system is being examined. These will help increase retrieval of process water and reduce fresh water requirements. Action has also been taken to replace old bore wells to improve upon fresh water supply.
- vi. *Efficiency of ICC smelter:* Consequent to commissioning of high-tech PLC controlled CJD (central jet distribution) burner and cooling elements, imported from Outotec, Finland, and general plant overhauling, the operational efficiency of the smelter has improved significantly. The system is under stabilization after initial teething problems after which further benefits as envisaged will be realized.

2. FINANCIAL PERFORMANCE

The comparative working results for the year 2008-09 vis-à-vis 2007-08 are as under :

(Rs in crore)		
Particulars	2008-09	2007-08
Turnover	1349.10	1839.79
Profit/(Loss) before tax	5.48	302.50
Net profit/(Loss) after tax	(10.31)	246.46

Despite macroeconomic parameters turning adverse coupled with steep fall in copper prices as witnessed during the second half of 2008-09, your Company managed to maintain a positive gross margin. London Metal Exchange (LME) price of copper which was ruling at an average of USD 8665 per tonne in April 2008 slipped to its lowest in December 2008 at USD 3072 per tonne; the average price for the year 2008-09 was USD 5864 per tonne compared to previous year (2007-08) average of USD 7584.

To cope with the downtrend :

- (i) Company stopped imports of MIC (that was being done hitherto to make good the shortfall of in-house production) and suspended KCC smelter operations as from December 2008 pending further review; presently only ICC smelter is operational using in-house MIC as raw material.
- (ii) Sale of surplus MIC from in-house production has been added to Company's business portfolio with encouraging results.
- (iii) To sustain capacity utilisation of Company's rod mill at Taloja Copper Project (TCP), in the face of shortfall of in-house cathode availability for feeding the plant as a consequence of factors mentioned at sub para (i) above, procurement/tolling of cathode from outside sources has been stepped up.



3. ENERGY CONSERVATION

Recommendations arising out of energy audits done by the consultant (PCRA) appointed earlier have largely been implemented. Energy audit cells that were set up at each of the units are constantly monitoring energy consumption at the mines, plants and townships to achieve overall reduction. Suitable measures are also being initiated to improve power factor further. Installation of high-tech CJD burner at ICC smelter has significantly reduced energy consumption.

The reduction in specific energy consumption ratios vis-à-vis the previous year is given below.

	Specific consumption	2008-09	2007-08
Power (KWH/t)			
	KCC Concentrator	20.52	21.84
	ICC Smelter	1154.30	1226.33
	ICC Sulphuric Acid Plant	129.64	174.31
Fuel (Lt/t)			
	ICC Sulphuric Acid Plant	17.18	79.91

In financial terms, implementation of various measures resulted in savings of approx Rs 395 lacs during 2008-09.

4. ENVIRONMENT & POLLUTION CONTROL MEASURES

The ambient air quality is regularly monitored at mines, process plants and residential areas at all units as per pollution control board guidelines/standards. Environmental audits have also been carried out at all plants through an independent outside agency. The agency has given recommendations that would assist the Company to further improve the existing environmental management plans. The environment cell of the Company is in the process of implementing those recommendations in phases taking into account the availability of the funds.

The range of air quality around the various mines of the Company given in Annexure-I is well within the standards and limits as prescribed by the pollution control board.

Effluent treatment facilities installed at the units of the Company have been working satisfactorily during the year and meeting regulatory norms as prescribed by the Pollution Control Boards. Discharged process water is being recycled after treatment thus conserving the water. Quality of treated water which is recycled is projected in Annexure-I.

Solid waste from plants and hospitals are also safely disposed off or stored as per the guidelines prescribed by the pollution control boards.

Company promotes several environment friendly activities by planting trees, improving house keeping, cleanliness, hygiene and safety through several programmes round the year. The Company has planted about 657 acres of the land with different types of flora around the mining areas at different units thus maintaining the green environment. Various species are : Acacia nilotice (Babul), Del bergia Sisso (Shisham), Amaltas, Pipal and Bargad.

5. SAFETY

Safety remains a high priority area, and the Company is always aiming to achieve 'zero accident potential'. MCP maintained 'zero accident' status at its mines in the calendar year 2008, like in the previous years.



It achieved the excellent performance award in the area of Mine Safety for 2008 under the aegis of Director General of Mines Safety (DGMS), Western Zone, Nagpur.

At KCC, Kolihaan mine reported eight accidents (including one fatal) while Khetri mine had four accidents during the calendar year 2008.

Special training programmes and regular refresher training programme and on-the-job training are provided to workers. Regular safety campaigns like fire service day and annual mines safety week celebrations are being conducted with active participation of employees, who also participated in All India Mine Rescue Competition and won prizes.

6. RESEARCH & DEVELOPMENT / SCIENCE & TECHNOLOGY / TECHNOLOGY ABSORPTION

Company has collaborated with the Institute of Minerals & Materials Technology (IMMT), Bhubaneswar to develop bio heap leaching technique at MCP. The project has been approved by the department of Science of Technology (S & T) Govt. of India. Upon successful completion of experimental trials, the technique can be commercialised to recover copper from low grade sulphur-bearing ore. The project is progressing as per schedule.

To improve the concentrate grade and recovery at KCC, where the ore has inherent adverse characteristics and mineralogy, bigger capacity floatation cells of 300 cft have been installed in the scavenger and cleaner sections of the concentrator plant with encouraging results.

Accreditation for ICC's R&D laboratory has been obtained from NABL (National Accreditation Board for Testing and Calibration of Laboratories) for analysis of impurities in copper cathode by optical emission spectrometer.

7. IT Initiatives

For bringing about greater dynamism, transparency and business efficiency, Company has initiated several IT initiatives spanning all operational areas. Major initiatives are :

i. ERP implementation

Enterprise Resource Planning (ERP) – ERP solution (Oracle e-biz suite R12) covering all operational areas – manufacturing, maintenance, marketing, finance, materials, HR, projects – has been implemented and the system has gone live from 1st October 2008. Real time and uniform transaction processing and reliable information flow from ERP has enabled faster decision making along with standardization of all processes, procedures and management information system.

ii. e-Procurement

e-Procurement has been initiated for procurement of Stores & Spares items above a threshold value through outside agency.

iii. e-Payments

e-Payment system was introduced wherein payments are made directly to Supplier/Contractor bank accounts after obtaining proper mandate eliminating manual cheque preparation and processing.

iv. Real time LME booking

A web based system was developed and implemented to enable customers to place orders with HCL on-line, based on Real time LME rate. The customers can monitor the order booking status and can view HCL's price circulars.



v. **On-line Vendor registration**

On-line Vendor registration system was improved in our website. The Vendors can register on-line with HCL giving details of their company particulars, addresses, etc. The vendor data is captured online, validated and stored in the database for further use and monitoring.

vi. **On-line Vigilance Complaints registration and monitoring**

Web based system was developed and implemented where complaints can be registered through our website. The complaint status can also be captured on-line.

vii. **On-line Annual Property return submission**

A System was developed for Employees to submit their annual property returns through Employee Self Service login facility in ERP. The data can be accessed through secure login by HR department.

viii. **Mine planning software**

Datamine & Surpac mine planning software were implemented in Khetri & Malanjkand units respectively. The main features of the software are digitized block modeling and grade estimation, digitized mine planning and drill design, accurate reserve & excavated quantity measuring, geological data immersion.

8. DEVELOPMENT OF SSI AND ANCILLARY UNITS

The Company continued to follow Government guidelines in encouraging procurement of materials from SSI & ancillary units. During the year 2008-09, the Company, among other several items, purchased cast iron grinding media balls worth over Rs 18 crores from SSI consortia units of the National Small Industries Corporation (NSIC) Limited. SSI units, registered with NSIC, are exempted from payment of earnest money deposit (EMD) in full, and from security deposit (SD) to the extent of their monetary limits fixed by NSIC.

9. MANAGEMENT DISCUSSION AND ANALYSIS

9.1 Industry structure and developments

Till 1997, state owned Hindustan Copper Limited (HCL) was the only Company producing primary refined copper in the country meeting 25-30% of country's refined copper requirements, the balance being imported. Presently, four major players with total installed production capacity of about 10 lakh tonnes of refined copper per annum dominate the Indian copper industry. However, HCL continues to be the only vertically integrated primary copper producer having its own captive mines. The captive mines meet about 60% of Company's requirement for copper concentrate, the rest having to be imported. Efforts are underway to increase mine production to become self-sufficient at the earliest. The two private sector companies, viz., M/s Hindalco Industries Ltd. (Unit: Birla Copper) and M/s Sterlite Industries (I) Ltd., with production capacities of 5,00,000 tonnes and 4,00,000 tonnes per annum respectively, have set up shore-based smelters relying fully on imported concentrate as raw material. The fourth player, M/s Jhagadia Copper Ltd. with plant capacity of 50,000 tonnes per annum produces refined copper through the secondary route (i.e. by using copper scrap as raw material). While the two major private Companies have the benefit of large scales of operation along with locational advantages, HCL has a competitive advantage by virtue of its having captive mines in the country.

As a result of significant growth in refined copper production capabilities, India has become a net exporter of refined copper as opposed to its earlier position when bulk of its refined copper requirements had to be met through imports.



9.2 Business scenario

Over the past few years, demand for copper in the global market has been growing steadily at 3-4%, mainly due to strong demand growth in Asian countries, particularly China, which is driving price buoyancy on the LME. The financial year 2008-09 was an extremely challenging one with unprecedented economic volatility in commodity and money markets. This was triggered by the sub-prime crisis and global recessions. Refined copper which was trading at an average of USD 8685 per tonne in April 2008 slipped to its lowest in December 2008 at USD 3072 per tonne. Since then, there has been partial recovery and presently copper price is hovering in the range of USD 4500-5000.

According to the International Copper Study Group (ICSG), Lisbon (Portugal) the current global economic crisis has led to decline in world refined copper usage; the decline during the year 2009 is expected to be at least 4.3%. This is attributable largely to the three major markets—the United States, the European Union, and Japan, which will witness an average decline of 14% in refined copper usage. Copper demand growth in China is expected to be 3% which is lower than that witnessed in previous years.

World refined copper market for the calendar year 2008 showed a surplus of about 2,50,000 metric tonnes. Projections for 2009 and 2010 indicate a surplus of at least 3,45,000 tonnes and 4,00,000 tonnes respectively.

As per the estimates of ICDC, total refined copper usage in India during the financial year 2008-09 was approximately 5,05,000 tonnes. Considering the growth in the economy and emphasis on power and infrastructure development, the rise in copper usage is expected to continue with demand growth projected at 7-8% per year.

9.3 Opportunities and threats

In India, there is under-capacity at the mining stage vis-à-vis the refining capacity. Your Company being the only one in the country holding all operating copper mining leases this presents a vast opportunity for growth. Out of 370 million tonnes of copper ore reserves in the country, Company's lease rights extend over more than 280 million tonnes. The Company has adequate opportunity to augment its mining capacity by increasing production from the existing mines and by developing new ore resources, besides reopening some of the mines that were closed in the past. Accordingly, the Company has reoriented its business strategy to take advantage of the situation.

The export market in the Asian region also presents a good opportunity for the Company.

Threat perception for the Company includes intense volatility of copper prices and the rising cost of inputs, particularly power and fuel. Furthermore, the Company may also witness threat to its market share of refined copper (wire rod) on account of current stoppage of one of the two smelters on economic considerations, though efforts are being made to offset this by sourcing cathodes from the market for conversion into wire rod. The Company has, however, in lieu, added sale of surplus MIC to its business portfolio.

9.4 Product-wise performance

During 2008-09, the Company sold 35,714 tonnes of refined copper against 45,384 tonnes in 2007-08. The decline was on account of shutdown of the ICC smelter during the first half of the year, and suspension of the KCC smelter operations as from December 2008 on economic considerations. However, in order to sustain plant capacity utilisation and satisfy customer demand, Company's initiative of making good the shortfall by sourcing cathodes from outside for use as raw material for TCP was successful during second half of the FY 09.

Of the total product portfolio, CC wire rod accounted for sales of 93.34%.



Product wise break-up of refined copper sales during 2008-09 vis-à-vis 2007-08 is as follows :

(tonnes)		
Particulars	2008-09	2007-08
CC wire rod	33,336	42,378
Cathode	2,359	2,883
Wire Bar	19	-
Copper Conductor	-	123
Total	35,714	45,384

Besides the main products, Company sold 23,819 tonnes of sulphuric acid, 80 tonnes of anode slime, and 3,540 tonnes of copper concentrate during the year.

9.5 Future outlook

India's GDP continues to grow at about 7% as the country moves towards joining the league of developed nations. Indian refined copper usage is expected to grow in line with the economy. However, the recent economic meltdown has slowed down the process. Your Company has worked out a strategic plan to meet the challenges.

The focus continues to be on the three pronged strategy adopted earlier, i.e., exploration/exploitation of new deposits, development of new mines and optimising production from the existing mines. Board have principally approved the reopening of Kendadih mine in Jharkhand and expansion of open pit mine at Malanjkhand. Efforts are also being made to exploit the Banwas copper deposit at KCC.

World copper prices, though volatile, are likely to remain at current subdued levels, which in any case are higher than breakeven levels, thereby ensuring the Company's growth prospects. In financial year 2009-10, your Company expects to derive significant value from the mining business as it comes out of some of the operational constraints.

9.6 Risks and concerns

Main business risks faced by the Company arise out of volatility of LME price of copper and hardening of the rupee against USD. To insulate itself from the LME price risk, the Company has introduced 'hedging' as a risk mitigation tool. Another business risk faced by the Company is on account of delay in achieving the projected mine capacities due to socio-political factors, higher capital costs and related issues. This may restrict MIC production and put pressure on operating margins.

9.7 Internal control systems and their adequacy

The Company has a well-established internal control system commensurate with its size. Internal audit reports are discussed in the Audit committee meetings which are held regularly and suitable corrective actions taken by the management. As per Government guidelines, the Company has introduced e-tendering for procurement of materials and e-banking for payments for greater transparency.

9.8 Vigilance activities

Surprise checks/regular inspections were conducted for effective control. Returns and reports were submitted to the statutory agencies. CVC's guidelines, received from time to time, were followed and adhered to. A campaign for creating awareness was taken up by organizing vigilance awareness week celebrations between 03.11.2008 and 07.11.2008 at all the units, including the Head Office. Emphasis was given on



preventive vigilance with a view to reducing the scope for corruption while improving systems and procedures. As a step in this direction e-procurement and e-payment have been introduced. On-line submission of annual property returns has also been introduced. Further, persons desirous of registering complaints and grievances can do so on-line.

9.9 Discussion on financial performance with respect to operational performance

The financial performance for 2008-09 vis-à-vis 2007-08 is summarised below :

(Rs in crore)		
Particulars	2008-09	2007-08
a. Sales	1349.10	1839.79
b. Net of Extraordinary Income/(Expenses)	(30.80)	(17.00)
c. Value of Production	1344.27	1993.48
d. Cost of production excluding depreciation, provisions, write-off and interest	1278.20	1583.58
e. Profit before depreciation, provisions, write-off and interest	35.27	392.90
f. Depreciation, provisions and write-off	22.97	62.39
g. Interest	6.82	28.01
h. Profit/(Loss) before tax	5.48	302.50
i. Provision for taxation - Current	5.98	48.00
- Fringe Benefit	0.55	0.34
- Deferred	9.26	7.70
j. Profit/(Loss) after tax	(10.31)	246.46
k. Cash Profit	21.92	316.55

Financial performance was affected primarily due to reduction in net realization on account of steep fall in LME price of copper during the year as elaborated in para 2 above.

9.9.1 Capital expenditure

During the year, no Government support for capital expenditure was asked for, nor received, as the Company proposes to meet its capital expenditure out of internal resources. The approved capital outlay on account of Replacements & Renewals (R&R) of plant & machinery stands at Rs 60 crore, out of which the actual expenditure incurred during the year was Rs 59.91 crore.

9.9.2 Loans

During the year, your Company, having repaid the balance amount of Rs.112.50 crore of the 7.5% corporate term loan, became a debt free Company.

9.9.3 Contribution to exchequer

During the year 2008-09, the Company contributed a sum of Rs 307.00 crore to the exchequer by way of duties, taxes and royalties, as against Rs 513.44 crore in 2007-08, as detailed below:



Particulars	Rs in crore	
	2008-09	2007-08
Excise Duty	139.48	245.82
Customs Duty	58.09	125.10
Sales Tax	34.58	47.90
Royalty and Cess	26.25	32.99
Income Tax	39.20	48.34
Others	9.40	13.29
Total :	307.00	513.44

9.9.4 Expenditure in foreign currency

During the year 2008-09, the Company spent foreign currency towards import of copper concentrate, components, stores & spares, travelling and consultation fees, etc. to the tune of Rs 310.61 crore as compared to Rs 591.49 crore in 2007-08.

9.9.5 Earnings in foreign exchange

During the year 2008-09, the Company earned foreign exchange of Rs 75.22 crore through exports of Copper Cathode and anode slime, as against Rs 75.46 crore earned in 2007-08.

9.10 Industrial relations and HR initiatives

9.10.1 Industrial Relations

Industrial relations in the Company were peaceful and harmonious. Various bi-partite forums between the Management and the Unions functioned well. In a very significant development, the recognized trade unions have offered to forego the employees' residual arrears due of 1997 pay revision for the period 1.11.1997 to 30.11.1999 amounting to approximately Rs 26 crore in order to keep the bottom line healthy in the face of declining margins during 2008-09.

9.10.2 Redeployment and rationalization of manpower

Company has been making continuous efforts to redeploy manpower after suitable re-training to ensure proper distribution of manpower and also to minimize idle manpower on account of plant shutdowns. 92 personnel were redeployed at KCC, while at ICC, a scheme of rationalization of manpower was implemented. The Mumbai marketing office along with personnel was relocated from Mumbai to TCP premises for optimum utilisation of infrastructure and manpower resources.

9.10.3 Training

Based on identified needs, several in-house training programmes were organized, with wider coverage of employees and issue-based discussions. The Company selectively nominated employees for specialized training programmes/workshops/seminars & conferences organized by professional agencies & reputed Institutes. In the year 2008-09, against the target of 5500 man days, 8755 man days of training was imparted.

9.10.4 Recruitment

An exercise was undertaken for recruitment of Graduate Engineers, Geologists, and Management Trainees & Diploma Engineer through competitive examination on all India basis. Selection processes



have also been completed. Induction shall, however, take place subject to approval of the Board of Directors. The plan is to address the essential vacancies which will arise against forthcoming retirements in the years 2009 and 2010.

Besides, Company recruited 20 executives during the year in various positions and disciplines to address urgent needs.

9.10.5 Employee turnover

While no superannuation took place during the year, 41 employees got separated from the Company on account resignations and death.

9.10.6 Employee Communication

Company continues to improve communication with employees through various measures. Under the ERP programme implementation in the Company, several awareness and acclimatization campaigns were undertaken. Communication programmes relating to safety, productivity and energy conservation were also organised. The monthly house journal in Hindi and English was well circulated. For better dissemination of information, Company has circulated a HR handbook containing summary of HR rules and practices to all employees, printed in Hindi & English. The Company is also using its internal e-mail facilities to improve communication in general.

9.10.7 Optional Leave Scheme

An 'Optional Leave Scheme' was introduced during the year. The Scheme envisages grant of optional leave to desirous employees for a period ranging three to six months. During the period of optional leave, an employee is paid 80% of Basic Pay and applicable Dearness Allowance and Dearness Pay. This was initiated to bring down manpower cost consequent upon suspension of KCC smelter operations, but is uniformly applicable across all units.

9.10.8 Managerial Experience Enrichment Scheme

In order to provide multidisciplinary experience to executives while helping the Company implement improvement initiatives to achieve objectives, Company has introduced Managerial Experience Enrichment Scheme to enrich cross functional experiences and to prepare them for more competitive managerial roles in the future.

9.10.9 Employees' participation in management

Employee participation in management has been the backbone of harmonious industrial relations in the Company. Successful operation of various bi-partite forums at all the three levels, namely, at the apex level, unit level and the shop floor level have contributed in a major way to the smooth performance of the Company.

9.10.10 Quality Circles

Two Quality circles of the Company have been rated to be 'Excellent' and 'Distinguished' based upon their case study presentation at the National Convention of Quality Circles-2008 at Vadodra. There is sustained focus on furthering the quality circle movement in the Company to improve production & productivity through participation of employees.



9.10.11 Employment under all categories as on 31.03.2009

Group	Manpower	SC	ST	Land displaced persons	Minorities	OBC	Female
A	748	86	22	–	38	52	29
B	123	18	9	–	3	20	8
C	3636	601	502	203	243	564	141
D	933	182	137	206	45	30	132
Total	5440	887	670	409	329	666	310

9.10.12 Reservations for appointment of SC/ST/OBC candidates

Out of the total manpower of 5440 the representation of SC, ST and OBC employees was 16.31%, 12.32% and 12.24% respectively as on 31.3.2009.

9.10.13 Communal harmony and national integration

In the Company's townships at Khetri, Malanjkhanda and Ghatsila as well as at other places of work, employees and their family members live in a spirit of harmony and togetherness and joyously celebrate all religious and social festivals irrespective of caste, creed, religion and language.

9.10.14 Employment of women

Group wise strength of women employees as on 31.3.2009 vis-à-vis the total manpower is given below:

Group	Total strength	No. of women employees	% of women employees to total strength
Group A	748	29	3.88%
Group B	123	8	6.50%
Group C	3636	141	3.88%
Group D	933	132	14.15%
Total	5440	310	5.70%

In pursuance of the judgment of the Hon'ble Supreme Court, the Company has set up committees at all the units/offices of the Company for prevention of sexual harassment of women in work places. A provision in this regard has also been incorporated in the 'Conduct, Discipline and Appeal Rules' of the Company.

During the year under report, no incidence of sexual harassment of women or discrimination amongst employees on the basis of gender has been reported.

9.10.15 Progress achieved with regard to the well being of older persons

The retired employees of the Company as well as their spouses are extended medical treatment at the Company's own Hospitals at the units. Company also extends support to 'Mahila Samity' and other institutions/NGOs in their endeavour to run 'health camps' for the local community. For the VR separated and superannuated employees of the Company, a Group Medical Insurance Scheme has been introduced which provides hospitalization coverage to the extent of Rs 2 lakhs per annum and reimbursement of domiciliary treatment expenses of Rs 4,000 in a financial year.



9.10.16 The status of Implementation of the 'Persons with Disability Act, 1985'

In the last few years, as the manpower of the Company is being rationalized, there has been no scope of fresh recruitment, including that of physically challenged persons. In addition, the mining operations of the Company being hazardous in nature, the scope for engaging physically challenged persons is limited. The number of physically challenged persons employed in the Company as on 31.3.2009 was as follows:

Group	Number of physically challenged persons
A	2
B	-
C	42
D	14
Total	58

9.10.17 CSR Initiatives

A baseline survey was conducted in 2007 for the purpose of social mapping to initiate CSR activities. For the initial stage, five villages from each of the three units at KCC, MCP and ICC were identified for rolling-off CSR activities, focusing on health, general hygiene, sanitation, awareness generation & formation of self help groups (SHGs), and introduction of alternative farming techniques. With the support of local NGOs and community participation the entry point activities are being carried out since April, 2008.

The initial activities have also built up the necessary ground work for implementing micro finance projects for the SHGs – towards creation of alternative employment activities and resource formation.

The Company is committed to provide 0.5 percent of its net profit towards social sector activities on a continuing basis.

9.10.18 Progressive Use of Hindi

Your Company continued its thrust on implementation of official language policy of the Government of India. Employees are constantly motivated to use Hindi in their day to day official work for which Hindi workshops are conducted in the units and Head Office at regular intervals. Regular review with regard to progressive use of Hindi and difficulties faced were carried out in quarterly meetings of Official Language Implementation Committee under the chairmanship of Unit heads in units and CMD at head office. Hindi Week and Hindi Day were celebrated in the offices and units of Company from 14th to 20th September, 2008 under which Hindi competitions were organized with a view to grow interest among employees towards Official Language Hindi and prizes were distributed to the winners. The messages of Hon'ble Home Minister, Hon'ble Mines Minister, Secretary (Mines) and CMD were circulated/ read out in all offices/ units on the occasion of 'Hindi Day'.

During the year, Bangalore marketing office of the Company has been notified under rule 10(4) of the Official Language (Use for official purpose of the Union) Rules, 1976 by the Ministry of Mines.

House journal of the Company "Tamralipi" continues to be published both in Hindi and English, and is distributed among employees regularly as well as sent to the members of Hindi Advisory Committee. Annual Report and HR Policy Guide of the Company were also published in Hindi and English. 'Every day one Hindi word' scheme is operational for improving the Hindi vocabulary among employees.

10. STATUS OF MINING LEASES

- (i) Mining leases in respect of Khetri, Kolihan and Chandmari at KCC are valid up to 22.02.2013, 23.11.2016 and 16.12.2012 respectively.



- (ii) Mining lease No. 1 & 2 of Malanjkhanda is valid upto 27.08.2013. The other two adjoining mining leases applied earlier have been withdrawn by HCL as the proposal of underground mining is deferred.
- (iii) Mining lease in respect of Surda Mine is valid upto 14.06.2014.
- (iv) Kendadih Mining Lease renewal and Rakha Mine execution of Lease Deeds are in advance stage of clearance with the Govt of Jharkhand. The case for second stage forest clearance for Kendadih mine is with Ministry of Forest & Environment, Govt. of India, New Delhi.
- (v) Mining Lease application submitted for Badia & Pathargora areas has been modified and applied to cover the area of Pathargora Intervening Block and Dhobani as well.
- (vi) Major portion of the area Baniwali-Ki-Dhani in Sikar District of Rajasthan is under Aravali forest area and hence has been banned for mining activities by the Supreme Court of India. PL (Prospecting License) for a small copper bearing adjoining area has been applied for. The matter is pending for approval with Govt. of Rajasthan.
- (vii) PL application for Dhani Bansri in the district of Jaipur, Rajasthan is pending with Govt of Rajasthan.
- (viii) PL applications for Shitalpani Block and Jatta Block and RP (Reconnaissance Permit) in the district of Balaghat have been submitted to Govt. of Madhya Pradesh.

Regular follow up is being done with the concerned authorities for obtaining the permits and leases.

11. **CORPORATE GOVERNANCE**

A report on Corporate Governance as per SEBI directives and stock exchange listing requirements is given at Annexure-II forming part of this report together with statutory auditors' certificate on corporate governance.

12. **CODE OF CONDUCT**

The Company has in place a Code of Conduct applicable to the Directors as well as Senior Management and the same has been circulated to all concerned and posted at the Company's website www.hindustancopper.com. All Board members and senior management personnel have affirmed compliance of the code for the year ended 31st March, 2009.

13. **DIRECTORS' RESPONSIBILITY STATEMENT**

On the basis of compliance certificate received MD & CFO and other executives of the Company and subject to disclosures in annual accounts as on 31.3.2009 on the basis of discussions with Statutory Auditors of the Company from time to time.

- (i) Your Directors confirm that in the preparation of the annual accounts for the year ended 31st March, 2009, the applicable accounting standards had been followed along with proper explanations relating to material departures/variations.
- (ii) Such accounting policies have been selected and applied which are reasonable and prudent so as to give a true and fair view of the state of affairs of the Company at the end of 31st March, 2009 and of the Profit or Loss of the Company for the year.
- (iii) Proper and sufficient care has been taken for the maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Company and for preventing and detecting fraud and other irregularities.
- (iv) The Directors have prepared the annual accounts on a going concern basis.



14. **DIRECTORS**

The following changes took place in the Board of Directors of the Company since the last report:

Sri Satish C Gupta ceased to be Chairman-cum-Managing Director and Sri D Satapathy ceased to be Director (Personnel) of the Company upon attaining the age of superannuation on 31.7.2009.

Sri R C Singla has joined as Director (Mining) of the Company with effect from 18.2.2009.

Sri Anupam Anand has joined as Director (Personnel) of the Company with effect from 5.8.2009.

Sri Mani Krishna Murthy has resigned from the Board of Directors on 5.8.2009 due to personal reasons.

The Board places on record its appreciation for the valuable services rendered and contribution made by Sri Satish C Gupta, Sri D Satapathy and Sri Mani Krishna Murthy during their tenure on the Board of HCL.

15. **AUDITORS**

M/s. K B Chandna & Company, New Delhi and M/s. Ray & Company, Kolkata were appointed as joint statutory auditors to audit the accounts of the Company for the year 2008-2009.

M/s. H Tara & Company, New Delhi and M/s. Sekhar Ranjan Guha, Kolkata were appointed as Cost Auditors of the Company to audit cost accounts relating to manufacture of sulphuric acid at KCC and ICC, respectively for the year 2008-09.

16. **COMMENTS OF C&AG AND STATUTORY AUDITORS & MANAGEMENT REPLIES THEREON**

The comments of C&AG under Section 619(4) of the Companies Act, 1956 on the accounts of the Company for the year ended 31.3.2009 along with the review of accounts of your Company by C&AG and statutory auditors' observations along with management replies thereto are annexed to this report.

17. **PARTICULARS OF EMPLOYEES IN TERMS OF SECTION 217(2A) OF THE COMPANIES ACT, 1956**

There was no employee of the Company who received remuneration in excess of the limits prescribed under Section 217(2A) of the Companies Act, 1956 read with the Companies (Particulars of Employees) Rules, 1975.

18. **APPRECIATION**

In conclusion, your Directors wish to place on record their appreciation of the hard work put in by all employees of the Company during the year under review. The Board gratefully acknowledge the valuable guidance and co-operation received from the Ministry of Mines and other Ministries/Departments of the Government of India and the support received from the State Governments of Rajasthan, Jharkhand, Madhya Pradesh, Maharashtra and West Bengal and the Company's bankers, auditors, C&AG, customers and office bearers of the recognized trade unions of different units/head office. The Board also thank all shareholders and investors for the trust reposed by them in the Company.

For and on behalf of the Board of Directors

M Samajpati

Chairman-cum-Managing Director (I/C)

Place : Kolkata

Date : 22.8.2009

ANNEXURE-I TO THE DIRECTORS' REPORT

Range of annual Mean Ambient Air Concentrations around various mines of HCL is as under :

S. No.	Parameters	Unit	Values (Range)	Permissible Limits
1	Suspended Particulate Matter (SPM)	µg/m ³	147 to 394.20	500
2	Sulphur dioxide (SO ₂)	µg/m ³	09 to 16.8	120
3	Oxide of Nitrogen (NOX)	µg/m ³	15 to 19.5	120
4	Carbon Mono Oxide (CO)	µg/m ³	< 1 PPM (BDL)	4 PPM

(BDL : Below Detectable Limit)

Quality of Treated water which is recycled in various units of HCL is in the following range :

S. No.	Parameters	Unit	Characteristics Range	Permissible Limits
1	pH	–	7.3 to 7.9	5.5 to 9.0
2	Total suspended solids	mg/lit	21 to 73	100
3	B.O.D.	mg/lit	08 to 24	30
4	C.O.D.	mg/lit	24 to 137	250
5	Oil Grease	mg/lit	01 to 05	10
6	Colour	–	Colourless	–
7	Odour	–	Odourless	–

All parameters are well within permissible limits as prescribed by the Pollution Control Board.

ANNEXURE-II TO THE DIRECTORS' REPORT

REPORT ON CORPORATE GOVERNANCE

1. Company's Philosophy

The philosophy of the Company in relation to corporate governance is to ensure transparency, disclosures and reporting that conforms fully with the laws and regulations of the country in order to promote ethical conduct and practices throughout the organization for enhancing stakeholders' value.

2. Board of Directors

(a) Composition :

As on 31st March, 2009 the Board of Directors comprised a Chairman-cum-Managing Director, four functional directors, viz., Director (Finance), Director (Personnel), Director (Operations), Director (Mining), two Govt. directors (part-time official) representing the Ministry of Mines, Government of India and six independent directors (part-time non-official). In terms of clause 49 (corporate governance) of the listing agreement, where chairman of the Board is an executive director, at least half of the Board should comprise independent directors. Accordingly, there is vacancy of one independent director compared to composition under the requirement of the listing agreement. Company has taken up the matter with Ministry of Mines, Govt of India for constitution of the Board as per corporate governance requirement.

(b) Meetings, attendance and other directorship

During 2008-09, six Board meetings were held on 17.4.2008, 27.6.2008, 30.7.2008, 10.9.2008, 26.11.2008 and 28.1.2009, and the majority of members of the Board remained present. Leave of absence was, however, granted to the directors who could not attend the meeting.

The directors' attendance at the Board meetings and at the last annual general meeting (AGM), number of directorship in other companies and membership in other committees etc. during the year are as follows:

(i) Whole time directors

Name of the director	No. of Board meetings attended out of 6 held	Attendance at last AGM held on 28.8.2009	No. of other Directorship	No. of Committee position held in other companies	
				Chairman	Member
Shri Satish C Gupta CMD	6	Yes	—	—	—
Shri M Samajpati Director (Finance)	6	Yes	—	—	—
Shri D Satapathy Director (Personnel)	6	Yes	—	—	—
Shri K D Diwan Director (Operations)	6	Yes	—	—	—
Shri R C Singla* Director (Mining)	—	—	—	—	—

(*Appointed on 18.2.2009)

ANNEXURE-II TO THE DIRECTORS' REPORT (Contd.)

(ii) Part time official directors

Name of the director	No. of Board meetings attended out	Attendance at last AGM held on	No. of other Directorship	No. of Committee position held in other companies	
				Chairman	Member
Smt. Ajita Bajpai Pande	5	–	3	2	–
Shri Sanjiv Kumar Mittal	6	–	3	1	–

(iii) Part time non official Directors (Independent)

Shri Arun Kumar Mago	5	–	3	2	2
Shri S K Banerjee	6	–	4	1	–
Shri M K Murthy	3	–	1	1	–
Shri Michael Bastian	6	Yes	5	1	6
Dr. Mukesh Kharre	4	–	–	–	–
Shri Shantikam Hazarika	5	–	4	–	–

(c) Remuneration to whole-time directors

The details of remuneration paid to the whole-time Directors during 2008-09 was as follows :

Directors' Remuneration	(Rs. in lakhs)
Salaries and Allowance	35.59
Contribution to Provident Fund	3.80
Medical reimbursement	0.46
Leave encashment	0.64
Gratuity	–
LTC	–
Total	40.49

(d) Sitting fees to independent directors :

Independent directors are not paid any remuneration except sitting fees at the rate of Rs 5,000/- for attending each meeting of the Board or its committee. During 2008-09, the amount of sitting fees paid to independent directors was as follows :

Sl. No.	Name of the director	Sitting Fees (Rs.)		
		Board Meetings	Committee Meetings	Total
1.	Shri Arun Kumar Mago	25,000	–	25,000
2.	Shri Shakti Kumar Banerjee	30,000	25,000	55,000
3.	Shri Mani Krishna Murthy	15,000	5,000	20,000
4.	Shri Michael Bastian	30,000	25,000	55,000
5.	Dr. Mukesh Khare	20,000	–	20,000
6.	Shri Shantikam Hazarika	25,000	10,000	35,000
	Total	1,45,000	65,000	2,10,000

ANNEXURE-II TO THE DIRECTORS' REPORT (Contd.)

3. Audit Committee

The Audit Committee of the Board has been reconstituted on 10.9.2008 comprising one Government nominee director, Director (Operations) and four independent directors. The chairman of the Committee is an independent director. The terms of reference of the Audit Committee are as specified under Clause 49 of the listing agreement.

During the year, the Committee met 5 times on 17.4.2008, 27.6.2008, 28.7.2008, 26.11.2008 and 28.1.2009 and attendance of the members at the meetings is given below:

Composition	No of meetings attended out of 5 held
Shri Michael Bastian, Chairman	5
Shri Sanjiv Kumar Mittal, Member	5
Shri S K Banerjee, Member	5
Shri Mani Krishna Murthy, Member*	1
Shri Shantikam Hazarika, Member*	2
Shri K D Diwan, Member*	2

(* Appointed Members on 10.9.2008)

4. Remuneration Committee :

Being a Government Company, the remuneration, terms and conditions of appointment of directors is fixed by the Government of India. As such, no Remuneration Committee has been constituted by the Company.

5. Investor's Grievance Committee :

A sub-Committee of the Board known as Shareholders'/Investors' Grievance Committee has been constituted by the Board to look into the redressal of complaints received from investors/shareholders. The Committee comprises two Govt. directors representing the Ministry of Mines and Director(Finance) as its members. There was no outstanding complaint as on 31st March, 2009.

6. Share Transfer Committee :

A Sub-Committee of the Board comprising of Chairman and functional directors of the Company known as Share/Bonds Transfer Committee is already in existence. During 2008-09, the Committee met 6 (six) times on 28.4.2008, 2.6.2008, 16.7.2008, 26.9.2008, 14.11.2009 and 3.3.2009 and approved transfer/transmission of shares. Company Secretary has been nominated as Compliance Officer as per listing agreement requirement.

7. General Body Meeting :

Location and time of general body meetings held during the last 3 financial years were as under :

Year	Annual General Meeting			Extraordinary General Meeting		
	Date	Location	Time	Date	Location	Time
2006-07	25.09.2006	Registered office at 1 Ashutosh Chowdhury Avenue, Kolkata-700019	3.30 pm	–	–	–
2007-08	24.12.2007	– Do –	– Do –	16.08.2007	Registered office at 1 Ashutosh Chowdhury Avenue, Kolkata-700019	3.30 pm
2008-09	28.08.2009	– Do –	– Do –	–	–	–

ANNEXURE-II TO THE DIRECTORS' REPORT (Contd.)

No resolution was passed last year through postal ballot. In the ensuing 42nd AGM also the Company has not proposed any resolution for approval of shareholders through postal ballot since none of the business items proposed requires approval through postal ballot as per provisions of the Companies Act, 1956 and rules framed thereunder.

8. Disclosures :

The Company has not entered into any transactions of material nature with the directors that may have potential conflict with the interest of the Company at large. No penalties, strictures have been imposed on the Company by the Stock Exchanges or SEBI on any matters related to capital market during last 3 years.

The members of the Board apart from receiving director's remuneration do not have any material pecuniary relationship or transactions with the Company, its promoters which in the judgment of Board may affect independence of judgment of the directors.

The CMD and Director (Finance) of the Company have given the CEO/CFO certification to the Board with regard to the compliance made by them in terms of clause 49(V) of the listing agreement.

Regarding 'whistle blower' mechanism, the guidelines issued by the Ministry of Personnel, Public Grievances and Pensions, Government of India have been implemented as applicable to the Govt companies.

The Company has not adopted any non-mandatory provisions specified in Annexure 1D of clause 49 of the listing agreement.

9. Means of communication :

The Company publishes its quarterly/annual results in prominent English and vernacular newspapers for information of all concerned as per requirement. Annual Report/Quarterly results are also hosted on the website of the Company at www.hindustancopper.com. During the year no presentation was made to any institutional investor or to any analyst.

10. General shareholders' information :

i) 42nd Annual General meeting

Date : 30.09.2009

Time : 3.30 p.m.

Venue : Tamra Bhavan, 1 Ashutosh Chowdhury Avenue, Kolkata-700019

ii) Financial Year : 1st April, 2008 to 31st March, 2009

iii) Book-closure date : 24.09.2009 to 30.09.2009 (both days inclusive)

iv) Dividend payment date : No dividend has been recommended for payment by the Board.

v) Listing on Stock Exchanges :

Due to negligible trading, Company applied for voluntary delisting of its equity shares from stock exchanges at Kolkata, Delhi, Ahmedabad and Chennai under SEBI (Delisting of Securities) Guidelines, 2003. However, the listing of shares on the stock exchange at Mumbai (Stock Code: 513599), having nationwide trading terminals, will be maintained.

Annual listing fee for 2009-10 has been paid to the Bombay Stock Exchange Limited.

ANNEXURE-II TO THE DIRECTORS' REPORT (Contd.)

vi) **Stock market price data :**

Monthly high and low quotations of shares traded on the Bombay Stock Exchange Limited (BSE) during the financial year 2008-09 was as follows :

Month	B S E	
	High (Rs.)	Low (Rs.)
April 2008	374.65	228.00
May 2008	352.80	277.00
June 2008	311.90	222.90
July 2008	259.65	196.05
August 2008	–	–
September 2008	367.20	140.00
October 2008	173.85	71.30
November 2008	115.00	76.35
December 2008	120.95	70.20
January 2009	125.00	84.00
February 2009	97.40	82.00
March 2009	125.90	83.10

vii) **Registrar & Share Transfer Agent :**

The Company has appointed M/s. MCS Ltd., 77/2A, Hazra Road, Kolkata 700 029 as its Registrar & Share Transfer Agent to take care of all share related matters.

viii) **Share transfer system :**

Share transfer requests received by the Company are processed and certificates dispatched to the buyers within 30 days from the date of receipt as stipulated in listing norms of Stock Exchanges.

ix) **Shareholding pattern as on 31st March 2009 :**

	Category	No. of shares held	%
1	President of India	92,14,19,500	99.59
2	Mutual Funds	100	00.00
3	Financial Institutions	8,26,584	00.09
4	Private Corporate Bodies	4,52,513	0.05
5	Indian Public including employees	24,92,718	0.27
6	NRIs/OCBs	26,585	0.00
	TOTAL	92,52,18,000	100.00

ANNEXURE-II TO THE DIRECTORS' REPORT (Contd.)

x) **Distribution of shareholding as on 31st March 2009 :**

RANGE		SHARES	FOLIOS	% SHARES
1	500	1299654	9153	0.14
501	1000	349496	431	0.04
1001	2000	289272	187	0.03
2001	3000	138377	54	0.02
3001	4000	134859	37	0.01
4001	5000	135404	29	0.01
5001	10000	211294	28	0.02
10001	50000	363280	20	0.04
50001	100000	51000	1	0.01
100001 and above		922245364	4	99.68
TOTAL :		925218000	9944	100.00

xi) **Dematerialisation of shares :**

The Company's shares are tradable compulsorily in electronic form and are available for trading in the depository systems of both National Securities Depository Ltd. (NSDL) and Central Depository Services (India) Ltd.(CDSL). The International Securities Identification Number (ISIN) allotted to the Company's equity shares is INE531E01026 w.e.f 29.08.2008. Status of dematerialisation as on 31.3.09 was as follows :

Particulars	No. of Shares	% of Holding	No. of folio
DEMAT :			
a) N S D L	26,63695	0.29	5348
b) C D S L	9,80,568	0.10	3714
PHYSICAL :			
a) Govt. of India	92,14,19,500	99.59	8
b) Others	1,54,237	0.02	874
TOTAL :	92,52,18,000	100.000	9944

xii) **Outstanding GDRs/ADRs/Warrants or any convertible instruments, conversion date and likely impact on equity :**

The Company has neither issued any GDR/ADR nor any convertible instrument as on date.

xiii) **Plant location :**

Indian Copper Complex

P.O.Ghatsila
Dist.Singhbhum
Jharkhand

Malanjkhand Copper Project

P.O.Malanjkhand
Dist.Balaghat
Madhya Pradesh

Khetri Copper Complex

P.O.Khetrinagar
Dist.Jhunjhunu
Rajasthan

Taloja Copper Project

P.O.Taloja
Dist.Raigad
Maharashtra

xiv) **Address for correspondence :**

Shareholders desiring any information may write to the Company Secretary, HCL corporate office at 1, Ashutosh Chowdhury Avenue, Kolkata - 700019 or e-mail their query to singhi_cs@hindustancopper.com

ANNEXURE-II TO THE DIRECTORS' REPORT (*Contd.*)

COMPLIANCE CERTIFICATE ON CORPORATE GOVERNANCE

To the members of
Hindustan Copper Limited
Kolkata

We have examined the compliance of conditions of corporate governance by Hindustan Copper Limited, for the year ended on 31.03.2009, as stipulated in clause 49 of the Listing Agreement of the said company with stock exchange(s).

The compliance of conditions of corporate governance is the responsibility of the management. Our examination was limited to procedures and implementation thereof, adopted by the company for ensuring the compliance of the conditions of the corporate governance. It is neither an audit nor an expression of opinion on the financial statements of the company.

In our opinion and to the best of our information and according to the explanations given to us, we, hereby, certify the company has complied with the conditions of corporate governance as stipulated in the above mentioned Listing Agreement, except the following —

- i) The Independent Directors do not comprise at least 50% of Board of Directors w.e.f 18th February 2009.

We further state that such compliance is neither an assurance as to the future viability of the company nor the efficiency or effectiveness with which the management has conducted the affairs of the company.

For and on behalf of

K B Chandna & Co.
Chartered Accountants

Ray & Co.
Chartered Accountants

V K Gureja
M No. 16521
Partner

Subrata Roy
M No. 51205
Partner

Place : Kolkata
Date : 27.08.2009

ADDENDUM TO THE REPORT OF THE BOARD OF DIRECTORS

Clarification of the Management in respect of important observations of Statutory Auditors (Ref. Statutory Auditors' Report 27th August 2009)

Audit Observation No.	Observations	Clarification of the Management
6 (ii)	Pending confirmations, the balances under the heads Sundry Creditors, Claims Recoverable, Loans, Advances and most of the Sundry Debtors remain as per book balance.	The Company has obtained confirmation in respect of Sundry Debtors though some of the parties did not respond to our request. However, the Sundry Debtors balance as on 31-03-2009 has been fully reconciled. As of date, all outstanding amount as on 31-03-2009 has been recovered. Loans and Advances include deposits with Income Tax, Customs, Service Tax and CENVAT Receivables. This is a normal process and the balance as shown in the books of accounts get adjusted over a period of time against transactions carried out in the respective area. The Company is also initiating action in other areas for obtaining confirmation to the extent possible.
6 (iii)	During the year the company has implemented ERP with effect from 1 st October 2008 where subsidiary ledger balances of Loans & advances, Claims Receivables and Sundry Creditors at the end of the year were not reconciled with main ledgers which we were explained is in the process of reconciliation.	The Company implemented ERP w.e.f. 1 st October, 2008 and financial accounts for the year 2008-09 has been compiled through ERP system. In general, entries are processed through subsidiary ledgers which ultimately gets reflected in the general ledgers in totality. Both are systems generated and therefore, normally the figures should tally. This being the first year of operation and subsidiary ledgers being customized, reconciliation of both the figures could not be completed within the scheduled time frame. The effort is on and the same are getting reconciled in phases.
7	Keeping in view the size and nature of activities at some of the projects, frequency of internal audit should be increased. Further, the scope of internal audit in respect of recent ERP implementation during the year needs to be reviewed and strengthened.	Observations of audit has been noted. Internal audit job has been entrusted with a reputed Chartered Accountant firm and the audit job is carried out as per approved audit plan. The issue will be further discussed with the Internal Auditor to bring in improvement in this regard.

Place : Kolkata
Dated : 1st September, 2009

M Samajpati
Chairman-cum-Managing Director

TEN YEARS AT A GLANCE

<i>(Rs in crore)</i>										
YEAR	2008-09	2007-08	2006-07	2005-06	2004-05	2003-04	2002-03	2001-02	1999-01	1998-99
	(18 months)									
FOR THE YEAR										
Turnover	1349.10	1839.79	1799.64	1053.76	559.11	518.87	505.68	604.98	945.58	479.49
Gross Profit/(Loss)	12.30	330.51	366.68	138.75	95.05	3.46	(88.13)	(116.61)	(80.32)	(121.33)
Depreciation and Amortisation	73.72	81.89	89.45	58.37	55.75	59.05	57.71	58.12	90.19	59.25
Net Profit/(Loss)	(10.31)	246.46	313.94	105.88	55.98	(56.16)	(147.70)	(184.04)	(196.44)	(172.01)
Value Added	402.06	726.12	781.08	385.39	328.53	212.30	147.37	153.09	335.91	167.24
Value of production	1344.28	1991.24	1909.18	1053.34	631.24	534.43	501.53	586.66	1001.66	513.47
AT THE YEAR END										
Share Capital	462.61	462.61	977.45	948.95	948.95	908.95	795.11	710.11	543.61	536.61
Internal Resources	1026.95	1015.88	195.60	(110.57)	(298.85)	(350.30)	(310.39)	(169.45)	(0.49)	190.97
Term Loans	–	112.50	212.50	287.50	232.96	299.12	316.32	326.84	681.05	372.36
Cash credit from banks	2.30	0.98	3.98	4.81	118.23	76.11	139.49	122.04	122.70	84.16
Capital expenditure gross	1110.85	1037.06	993.99	977.89	967.71	995.10	1007.10	1024.77	1060.76	1066.21
Working Capital	361.16	492.06	328.62	62.78	33.94	(1.02)	(25.95)	7.51	25.95	6.49
Capital employed	570.86	657.48	504.62	247.47	234.55	215.28	203.89	249.29	291.03	298.71
Manpower (No.)	5440	5405	5451	5583	5665	5995	7865	9502	12043	15271

AUDITORS' REPORT to the Members of Hindustan Copper Limited

1. We have audited the attached Balance Sheet of M/s. Hindustan Copper Limited as at 31st March 2009, the Profit & Loss Account and the Cash Flow Statement of the company for the year ended on that date annexed hereto. These financial statements are the responsibility of the Company's Management. Our responsibility is to express an opinion on these financial statements based on our audit.
2. The audit has been conducted in accordance with generally accepted auditing standards applicable in India which requires the planning and performance of such audit which inter-alias includes examination on a test basis of evidences supporting the amounts and disclosures in the financial statements including assessing the accounting principles used and significant estimates adopted by the management as well as evaluation of the overall financial statement presentation to obtain reasonable assurance as to whether the financial statements are free of any material misstatements. We believe that our audit provides a reasonable basis for our opinion.
3. As required by the Companies (Auditors' Report) Order, 2003 (as amended), issued by the Central Government under Section 227(4A) of the Companies Act, 1956 and on the basis of such checks of the books and records of the Company as we considered appropriate we enclose in the Annexure hereto a statement on the matters specified in paragraphs 4 & 5 of the said order.
4. Without qualifying our opinion, we draw attention to :
 - (a) Note 2 of schedule 24 forming part of the financial statement relating to trade dispute with M/s Bhagawati Gases Ltd (BGL) in connection with an agreement to supply of gaseous oxygen at Khetri Copper Complex. A claim for Rs.10.80 crore has been awarded against the company by the arbitrator. The company has filed an appeal before the Jhunjhunu Court and the same was admitted for hearing. Based upon legal opinion obtained from a senior Supreme Court advocate and the Additional Solicitor General of India, the management considers the arbitral award is not binding on the company. Hence, claim has been disclosed under 'Contingent liabilities'.
 - (b) Note 4 of schedule 24 forming part of the financial statement relating to a dispute with MP State Electricity Board regarding demand of interest on electricity tariff amounting to Rs.121.87 crore payable at MCP which is pending for a long time and the matter is presently referred back to Hon'ble High Court, Jabbalpur by Hon'ble Supreme Court of India for reconsideration. The said amount has not been provided as liability in the accounts and disclosed as a contingent liability.
5. Further to our comments in the Annexure referred to in Paragraph 3 here-in-above we report that :
 - (a) We have obtained all the information and explanations, which to the best of our knowledge and belief were necessary for the purpose of our audit.
 - (b) In our opinion, proper books of account as required by law have been kept by the company so far as it appears from our examination of such books.
 - (c) The Balance Sheet, Profit & Loss Account and Cash Flow Statement dealt with by this report are in agreement with the books of account.
 - (d) In our opinion, the Balance Sheet, Profit & Loss Account and Cash Flow Statement, subject to what is stated herein below in paragraph 6 (ii) & (iii) dealt with by this report comply with the Accounting Standards referred to in sub-section (3C) of section 211 of the Companies Act, 1956.
 - (e) Section 274(1)(g) of the Companies Act, 1956, requiring disclosure of disqualification of directors is not applicable to Government Companies vide notification no GSR 829(E) Dated 21.10.03 issued by Department of Corporate Affairs.

AUDITORS' REPORT to the Members of Hindustan Copper Limited (Contd.)

6. (i) The financial statements have been drawn up on the basis of in-house estimates referred to in paragraph 2 of Accounting Policies, being a technical matter; we have relied upon the same.
- (ii) Pending confirmations, the balances under the heads Sundry Creditors, Claims Recoverable, Loans, Advances and most of the Sundry Debtors remain as per book balance. (Ref. Note No. 11 on Schedule No. 24 of Notes to Accounts).
- (iii) During the year the company has implemented ERP with effect from 1st October 2008 where subsidiary ledger balances of Loans & advances, Claims Receivables and Sundry Creditors at the end of the year were not reconciled with main ledgers which we were explained is in process of reconciliation. (Refer No.12 on Schedule No. 24 of Notes to Accounts).
7. The effect of qualifications given above on the loss as well as assets and liabilities of the company could not be ascertained for want of details.

Subject to the matter referred to in paragraph 6(ii) & (iii) above, in our opinion and to the best of our information and according to the explanations given to us, the said financial statements, read with the notes thereon, give in the prescribed manner the information required by the Companies Act, 1956, and, give a true and fair view in conformity with the accounting principles generally accepted in India :

- (i) in the case of the Balance Sheet, of the state of affairs of the company as at 31st March, 2009 ;
- (ii) in the case of the Profit & Loss Account, of the loss of the company for the year ended on that date and
- (iii) in the case of the Cash Flow Statement, of the cash flows of the company for the year ended on that date.

For K B CHANDNA & CO.
Chartered Accountants

V K GUREJA
Partner
(M.No. 16521)

For RAY & CO.
Chartered Accountants

SUBRATA ROY
Partner
(M.No. 51205)

Place : Kolkata

Dated : 27th August, 2009

ANNEXURE TO THE AUDITORS' REPORT

(Referred to in paragraph 3 of our report of even date)

1. In respect of its Fixed Assets :
 - (a) The company has in general maintained proper records showing full particulars including quantitative details and location of fixed assets.
 - (b) The fixed assets have not been physically verified during the current year pursuant to Accounting Policy No.3.5. However some of the units have been physically verified and discrepancies wherever noticed are not of material nature, adequate provision against the shortage have been made in the accounts.
 - (c) During the year, the company has not disposed off any fixed assets of substantial nature which would affect the going concern status of the company.
2. In respect of its Inventories :
 - (a) Physical verification of the inventory has been carried out during the year by Management. In our opinion frequency of verification is reasonable.
 - (b) In our opinion and according to the information and explanations made available to us the procedure of physical verification of inventories followed by the management are reasonable and adequate in relation to the size of the company and the nature of its business. In case of material lying with third parties, certificates confirming stocks have been received in respect of substantial portion of the stocks held.
 - (c) On the basis of our examination of the inventory records, in our opinion, the company has maintained proper records of inventory. The discrepancies noticed on physical verification of inventory as compared to book records have been properly dealt with in the books of account.
3. The company has neither granted nor taken any loans to/from companies, firms or other parties listed in the register maintained under Sec. 301 of the Companies Act, 1956. In view of the same, the question of the terms and conditions including rates of interest being prima facie prejudicial to the interest of the company does not arise.
4. In our opinion and according to the explanations given to us, there is an adequate internal control system with regard to purchases of inventory, fixed assets including high value contracts, transportation contracts and sale of goods commensurate with the size of the company. Further, on the explanations given to us, we have neither come across nor have informed of any continuing failure to correct major weakness in the aforesaid internal control system.
5.
 - (a) According to the information and explanations given to us, there is no transaction which needs to be entered into the register maintained under Section 301 of the Companies Act, 1956.
 - (b) In our opinion and according to the information and explanations given to us, the company has not entered into any contracts or arrangements exceeding Rs 5.00 lakhs in value in respect of any party in pursuance of contracts or arrangements entered in the register to be maintained under Section 301 of the Companies Act, 1956.
6. In our opinion and according to the information and explanations made available to us by the management, the company has not accepted any deposit from public within the meaning of Section 58A and 58AA or any other relevant provisions of the Companies Act, 1956 and the rules framed there under.

ANNEXURE TO THE AUDITORS' REPORT (Contd.)

7. Company has appointed an out side agency as Internal Auditor of the Company during the year. In our opinion that the Internal Audit system is commensurate with size and nature of its business. *However, keeping in view the size and nature of activities at some of the projects, frequency of internal audit should be increased. Further, the Scope of Internal Audit in respect of recent ERP implementation during the year needs to be reviewed and strengthened.*
8. We have broadly reviewed the cost records maintained by the company *except at TCP* for the items prescribed by the Central Government under clause (d) of sub-section (1) of Section 209 of the Companies Act, 1956 and are of the opinion that prima facie, the prescribed records and accounts have been maintained. However, we have not made a detailed examination of such accounts and records.
9. In respect of statutory dues :
 - (a) According to the information and explanations given to us, the company has been generally regular in depositing undisputed statutory dues payable in respect of provident fund, Investors education and Protection Fund, Employees state Insurances, Income Tax, Sales Tax wealth Tax, Service tax, Custom Duty, Entry Tax, Excise Duty, Royalty, Land Tax, Electricity Duty and Cess and any other material statutory dues applicable to it with appropriate authority during the year.

According to the information and explanations given to us, undisputed amounts payable in respect of Sales Tax, Royalty, Forest land, Electricity Duty, Excise Duty and Water Cess outstanding for a period of more than six months from the date ,that become payable were in aggregate of Rs.78987 thousand as at 31st March 2009 (As given in annexure attached)
 - (b) According to the information and explanations given to us, details of dues of Sales Tax, Excise Duty, Entry Tax, Property/Land Tax and Municipal Tax amounting to Rs.2555162 thousand net of deposits made have not been deposited on account of disputes pending at various forum. (As given in annexure attached).
10. The Company does not have accumulated losses as at 31st March 2009 and has not incurred cash losses during the financial year covered by our audit and the immediately preceding financial year.
11. In our opinion and according to the information and explanations given to us, the company has not defaulted in repayment of dues to Banks and Financial Institution.
12. According to the information and explanations given to us, the company has not granted loans and advances on the basis of security by way of pledge of shares, debentures and other securities.
13. In our opinion, the provision of any special statute applicable to chit fund/nidhi/mutual benefit fund/societies is not applicable to the company.
14. In our opinion, the company is not dealing or trading in shares, securities, debentures and other investments.
15. According to the information and explanations given to us, the company has not given guarantees for loans taken by others from banks or financial institutions.
16. In our opinion and according to the information and explanations given to us, the company has not availed any term loan during the year.
17. According to the information and explanations given to us and on an overall examination of the Balance

ANNEXURE TO THE AUDITORS' REPORT (*Contd.*)

Sheet of the company, we are of the opinion that the funds raised on short-term basis that have not been used for long-term investment.

18. According to the information and explanations given to us, the company has not made preferential allotment of shares to parties and companies covered in the Register maintained under Section 301 of the Companies Act, 1956.
19. According to the information and explanations given to us, the company has not issued any debentures during the year.
20. The company has not raised any funds by way of public issue during the year.
21. According to the information and explanations given to us, no fraud on or by the company was noticed or reported during the year.

For K B CHANDNA & CO.
Chartered Accountants

For RAY & CO.
Chartered Accountants

V K GUREJA
Partner
(M.No. 16521)

SUBRATA ROY
Partner
(M.No. 51205)

Place : Kolkata

Dated : 27th August, 2009

ANNEXURE TO THE AUDITORS' REPORT (Contd.)

UNDISPUTED LIABILITIES FOR MORE THAN SIX MONTHS

(Rs. '000)

PARTICULARS	AMOUNT
SALES TAX	1989
ROYALTY	3034
FOREST LAND	2124
ELECTRICITY DUTY	14712
EXCISE DUTY	606
WATER CESS	56522
TOTAL	78987

STATEMENT OF DISPUTED STATUTORY LIABILITIES

(Rs. '000)

SL. NO.	PARTICULARS	YEAR	FORUM AT WHICH MATTER IS PENDING	AMOUNT
1	EXCISE DUTY	2006-07	JOINT COMMISSIONER	2710
		1998-99	ASST COMMISSIONER	2254
		2002-03	ASST COMMISSIONER	520
		2001-02	DY COMMISSIONER	3540
		1999-00	ASST COMMISSIONER	6923
		2003-04	JOINT COMMISSIONER	1796
		2003-04	ASST COMMISSIONER	2794
		2005-06	ADDL COMMISSIONER	5789
		2007-08	ASST COMMISSIONER	874
		2007-08	COMMISSIONER (APPEAL)	3044
		2005-06	ASST COMMISSIONER	315
		2006-07	COMMISSIONER (APPEAL)	2054
		2006-07	ASST COMMISSIONER	9524
		2005-06	JOINT COMMISSIONER	847
		2002-03	CESTAT	6950
		FROM 1998-99 TO 2003-04	CESTAT	747346
		2008-09	CESTAT	972
		2008-09	COMMISSIONER (APPEAL)	835261
2	PROPERTY/LAND TAX	FROM 1994-95 TO 1997-98	HIGH COURT, JABALPUR	10345
		2006-07 & 2007-08	HIGH COURT, RAJASTHAN	48059
		2008-09	HIGH COURT, RAJASTHAN	28941

ANNEXURE TO THE AUDITORS' REPORT (Contd.)

STATEMENT OF DISPUTED STATUTORY LIABILITIES (Contd.)

(Rs. '000)

SL. NO.	PARTICULARS	YEAR	FORUM AT WHICH MATTER IS PENDING	AMOUNT
3	SALES TAX	1991-92	TRIBUNAL / MAHARASHTRA	734
		1991-92	TRBUNAL / JHARKHAND	551
		1992-93	TRBUNAL / JHARKHAND	5247
		1993-94	TRBUNAL / JHARKHAND	5980
		1994-95	TRIBUNAL / MAHARASHTRA	1781
		1994-95	APPELATE AUTHORITY / JABALPUR	538
		1994-95	DY. COMMISSIONER (APPEALS) / BIKANER	214
		1995-96	DY. COMMISSIONER (APPEALS) / BIKANER	180
		1996-97	DY. COMMISSIONER (APPEALS) / BIKANER	3406
		1997-98	DY. COMMISSIONER (APPEALS) / BIKANER	3383
		1998-99	JT. COMMISSIONER (APPEALS) / JHARKHAND	3313
		1999-00	DY. COMMISSIONER (APPEALS) / JHARKHAND	313
		2000-01	DY. COMMISSIONER / BIKANER	95
		2001-02	DY. COMMISSIONER / BIKANER	600
		2002-03	DY. COMMISSIONER / BIKANER	225
		2002-03	DY. COMMISSIONER (APPEALS) / BIKANER	1395
		2002-03	CTO/BIKANER	8255
		2003-04	DY. COMMISSIONER (APPEALS) / JHARKHAND	2001
		2004-05	DY. COMMISSIONER (APPEALS) / JHARKHAND	7308
		2005-06	DY. COMMISSIONER (APPEALS) / JHARKHAND	9068
		2006-07	DY. COMMISSIONER / BIKANER	3542
		2007-08	DY.COMMISSIONER / BIKANER	6
4	MUNICIPALITY TAX	FROM 2000-01 TO 2005-06	HIGH COURT, JABALPUR	748705
		2005-06	HIGH COURT, JABALPUR	3664
		2005-06	SUPREME COURT	6933
5	ENTRY TAX	2008-09	CTO	16867
	TOTAL			2555162

BALANCE SHEET

As at March 31, 2009

			(Rs. '000)	
SOURCES OF FUNDS	Schedule No.		As at 31.03.2009	As at 31.03.2008
Shareholders' Funds				
Share Capital	1	4,626,090		3,841,090
Share Money Awaiting Allotment		–		785,000
Reserves & Surplus	2	5,052,877		5,155,964
			9,678,967	9,782,054
Loan Funds				
Secured Loans	3	23,030		1,134,834
Unsecured Loans	4	337,345		–
			360,375	1,134,834
T O T A L			10,039,342	10,916,888
APPLICATION OF FUNDS				
Fixed Assets				
Gross Block	5	7,313,621		6,657,041
Less : Depreciation	5	5,216,602		5,002,868
Net Block	5	2,097,019		1,654,173
Discarded Fixed Assets (net of provision)	5	–		–
Capital Work-in-Progress including				
Advance for Capital Expenditure	6	127,899		282,292
Mine Development Expenditure	7	3,666,964		3,431,284
			5,891,882	5,367,749
Investments	8		17	17
Deferred Tax Assets (Net)			535,877	628,525
Current Assets, Loans and Advances				
Inventories	9	2,599,559		3,861,196
Sundry Debtors	10	1,599,480		501,406
Cash and Bank Balances	11	2,994,803		5,288,401
Other Current Assets	12	111,438		68,350
Loans and Advances	13	2,205,413		1,165,245
		9,510,693		10,884,598
Less : Current Liabilities and Provisions	14	5,899,127		5,964,001
Net Current Assets			3,611,566	4,920,597
Profit and Loss Account				–
T O T A L			10,039,342	10,916,888
Significant Accounting Policies	23			
Notes on Accounts	24			

The schedules referred to above form an integral part of the Balance Sheet.

In terms of our report of even date attached.

For and on behalf of the Board of Directors

For K.B.CHANDNA & CO.

Chartered Accountants

V K GUREJA

(M No. 16521)

Partner

Place : Kolkata

Dated : 27th August, 2009

For RAY & CO.

Chartered Accountants

SUBRATA ROY

(M No. 51205)

Partner

C S Singhi

Company Secretary

K D Diwan

Director (Operations)

M Samajpati

Chairman-cum-
Managing Director

Place : Kolkata

Dated : 27th August, 2009

PROFIT & LOSS ACCOUNT

For the year ended March 31, 2009

			(Rs. '000)
	Schedule No.	2008-09	2007-08
INCOME			
Gross Sales		13,491,000	18,397,910
Less : Discount & Rebate		194,717	267,359
Less : Excise Duty		1,394,792	2,462,769
Net Sales		11,901,491	15,667,782
Other Income	15	1,085,553	1,084,811
Increase/(Decrease) in Stock of Finished Goods, Semi-Finished and In Process	16	(1,133,847)	429,718
		11,853,197	17,182,311
EXPENDITURE			
Materials, Spares & Components	17	4,995,975	6,922,457
Employees' Remuneration & Benefits	18	2,146,191	2,134,849
Other Expenses of Manufacturing, Administration, Selling & Distribution	19	3,923,534	3,459,499
Interest	20	68,149	280,105
Provisions, Losses & Write off	21	41,489	465,501
Depreciation		188,218	158,423
Amortisation of Mine Development Expenditure		549,004	660,493
		11,912,560	14,081,327
PROFIT/(LOSS) FOR THE YEAR		(59,363)	3,100,984
Prior years' Net Debits/(Credits)	22	(114,224)	76,025
PROFIT BEFORE TAX		54,861	3,024,959
Provision for Tax - Current		59,800	480,000
- Deferred		92,648	76,953
- Fringe Benefit		5,500	3,400
PROFIT/(LOSS) AFTER TAX		(103,087)	2,464,606
Transfer from Special Reserve		293	308
Profit/(Loss) brought forward from last year's Accounts		2,464,914	(4,098,738)
Capital Reduction Accounts		-	4,098,738
Balance of Profit/(Loss) carried to Balance Sheet		2,362,120	2,464,914
Earning Per Share of Rs 5 each (Note 19 in Schedule 24)			
-Basic (Rs)		(0.12)	3.21
-Diluted (Rs)		(0.11)	2.76
Significant Accounting Policies	23		
Notes on Accounts	24		

The schedules referred to above form an integral part of the Profit & Loss Account.

For and on behalf of the Board of Directors

In terms of our report of even date attached.

For K.B.CHANDNA & CO. For RAY & CO.
Chartered Accountants Chartered Accountants
V K GUREJA **SUBRATA ROY**
(M No. 16521) (M No. 51205)
Partner Partner

Dated : 27th August, 2009
Place : Kolkata

C S Singhi **K D Diwan** **M Samajpati**
Company Secretary Director (Operations) Chairman-cum-
Managing Director

Dated : 27th August, 2009
Place : Kolkata

SCHEDULES FORMING PART OF THE BALANCE SHEET

		(Rs. '000)
	As at 31.03.2009	As at 31.03.2008
1. SHARE CAPITAL		
Authorised Capital		
180 00 00 000 Equity Shares of Rs 5/- each	9,000,000	9,000,000
20 00 000 7.5 % Non-Cum Redeemable Preference Shares of Rs 1000/- each	<u>2,000,000</u>	<u>2,000,000</u>
Issued, Subscribed & Paid up		
90 04 73 700 Equity Shares of Rs 5/- each fully paid up in cash (P.Y. 75 04 73 700)	4,537,369	3,752,369
1 02 44 300 Equity Shares of Rs 5/- each issued pursuant to a contract without payment being received in cash	51,221	51,221
75 00 000 Equity Shares of Rs 5/- each pursuant to Indian Copper Corporation (Acquisition of Undertaking) Act, 1972 without payment being received in cash	<u>37,500</u>	<u>37,500</u>
	<u>4,626,090</u>	<u>3,841,090</u>
Equity Share Money Awaiting Allotment	<u>–</u>	<u>785,000</u>
2. RESERVES AND SURPLUS		
Capital Reserve :		
As per last Balance Sheet	2,116,624	566,948
Addition during the year	<u>–</u>	<u>1,549,676</u>
	2,116,624	2,116,624
Special Reserve :		
As per last Balance Sheet	2,085	2,393
Less : Transferred to Profit & Loss Account	<u>293</u>	<u>308</u>
	1,792	2,085
General Reserve :		
Transfer from Profit & Loss Account	2,362,120	2,464,914
Deferred Tax Asset :		
As per last Balance Sheet	572,341	572,341
	<u>5,052,877</u>	<u>5,155,964</u>

SCHEDULES FORMING PART OF THE BALANCE SHEET

	(Rs. '000)	
	As at 31.03.2009	As at 31.03.2008
3. SECURED LOANS		
i) Cash Credit from Banks	23,030	9,834
Secured by hypothecation of Stock-in-Trade, Stores and Spare parts and Book Debts, both present and future of the Company.		
ii) 7.5% Corporate Term Loan from Bank	–	1,125,000
Secured by Guarantee issued by Govt of India		
	<u>23.030</u>	<u>1,134,834</u>
4. UNSECURED LOANS		
Loan from Bank (Short Term)	337,345	–
	<u>337,345</u>	<u>–</u>

SCHEDULES FORMING PART OF THE BALANCE SHEET

5. FIXED ASSETS

(Rs. '000)

DESCRIPTION	G R O S S B L O C K							D E P R E C I A T I O N							N E T B L O C K	
	As at 01.04.2008	During the Year Additions	Deduction/ Sale	Transfer from Discarded Asset	Transfer to Discarded Asset	Inter Head Adjust- ment	As at 31.03.2009	Upto 01.04.2008	For the year	Deduction/ Sale	Transfer from Discarded Asset	Transfer to Discarded Asset	Inter Head Adjust- ment	Upto 31.03.2009	As at 31.03.2009	As at 31.03.2008
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Land																
Free hold	15174						15174								15174	15174
Lease hold	13830						13830	3919	186					4105	9725	9911
Roads, Bridges and Culverts	53137						53137	19982	887					20869	32268	33155
Railway siding	13242						13242	9354	207					9561	3681	3888
Buildings including Sanitary and Water Supply System	1023128	34370					1057498	539084	19495					558579	498919	484044
Plant, Machinery and Mining Equipment	4690593	593311	31232	32883		-8721	5276834	3764941	165847	29343	30914		1797	3934155	1342679	925652
Electrical Equipment and Installation	296185	18313	152			1999	316345	229416	12432	144			-14	241690	74655	66769
Shafts and Inclines	365805	2925					368730	293870	9842					303712	65018	71935
Vehicles	75289	4678	1982	1322		6884	86191	63387	1639	1881	1255		-1774	62626	23565	11902
Furniture, Fixtures, Office, Hospital Survey and Drawing Equipment	110658	2495	351			-162	112640	78915	2735	336			-9	81305	31335	31743
Total	6657041	656092	33717	34205	-	-	7313621	5002868	213270#	31704	32169	-	-	5216602	2097019	1654173
Previous Year	6672991	105155	247033	137825	11897		6657041	4913034	188782	214637	126991	11302		5002868	1654173	-
DETAILS OF DISCARDED ASSETS																
Discarded Assets	629421			-	34205		595216	552288			-	32169		520119	75097	77133
Less Provision															75097	77133
Discarded Assets net of provision															-	-

Refer main Profit & Loss Account and Schedule No. 7 and 22.

SCHEDULES FORMING PART OF THE BALANCE SHEET

	As at 31.03.2009	(Rs. '000) As at 31.03.2008
6. CAPITAL WORK-IN-PROGRESS		
Plant and Machinery	396,999	490,595
Others	346,879	383,567
	<u>743,878</u>	<u>874,162</u>
Less : Provision	<u>667,075</u>	<u>656,222</u>
	76,803	217,940
ADVANCE FOR CAPITAL EXPENDITURE		
Unsecured - Considered Good	51,096	64,352
Considered Doubtful	2	2
	<u>51,098</u>	<u>64,354</u>
Less : Provision	<u>2</u>	<u>2</u>
	51,096	64,352
	<u><u>127,899</u></u>	<u><u>282,292</u></u>
7. MINE DEVELOPMENT EXPENDITURE		
As per last Balance Sheet	3,945,379	3,677,837
Add : Expenditure during the year as per Schedule 7.01	<u>826,817</u>	<u>995,563</u>
	4,772,196	4,673,400
Less : Value of ore recovered during mine development	55,538	67,528
Amortisation	549,004	660,493
Value of lean ore recovered from overburden	<u>34,204</u>	<u>—</u>
	638,746	728,021
	4,133,450	3,945,379
Less : Provision	466,486	514,095
	<u><u>3,666,964</u></u>	<u><u>3,431,284</u></u>
7.01 MINE DEVELOPMENT EXPENDITURE		
Salaries,Wages & Allowances	134,526	114,325
Contribution to Provident & Other Funds	13,886	16,414
Workmen & Staff Welfare	19,236	9,296
Gratuity	1,032	2,660
Stores,Spares & Tools Consumed	308,683	371,303
Power, Fuel & Water	31,318	30,018
Royalty	2,042	2,018
Repairs	43,203	117,334
Insurance	288	558
Overburden Removal Expenditure	40,428	236,335
Prospecting, Survey, Drilling, Sampling & Analysis	—	18,578
Depreciation	25,023	30,159
Miscellaneous	207,332	46,565
	<u><u>826,817</u></u>	<u><u>995,563</u></u>

SCHEDULES FORMING PART OF THE BALANCE SHEET

	As at 31.03.2009	(Rs. '000) As at 31.03.2008
8. INVESTMENTS (at cost)		
Non-trade Investments in Debentures :		
- Unquoted		
17 Nos. 5% Debentures of Rs 1,000 each fully paid up in Woodlands Hospital & Medical Research Centre Ltd.	17	17
	<u>17</u>	<u>17</u>
Aggregate Book Value - Unquoted	17	17
9. INVENTORIES		
(As Taken, Valued and Certified by the Management)		
Raw Materials [at cost]	116,589	513,355
Semi-Finished and In-Process [at lower of cost or net realisable value]	1,870,269	2,562,540
Less : Provision	<u>67,836</u>	<u>46,998</u>
	1,802,433	2,515,542
Finished Goods [at lower of cost or net realisable value]	44,442	486,018
Less : Provision	<u>-</u>	<u>20,838</u>
	44,442	465,180
Stores & Spares [at cost] (in transit Rs. 124,428 thousand) - Previous year Rs 25,896 thousand)	1,128,766	843,320
Less : Provision for Obsolescence/Non-moving & Verification Discrepancies (net)/irregular use	<u>492,908</u>	<u>478,592</u>
	635,858	364,728
Loose Tools [at cost]	237	2,391
	<u>2,599,559</u>	<u>3,861,196</u>
10. SUNDRY DEBTORS		
Exceeding six months	39,212	38,848
Other Debts	<u>1,598,566</u>	<u>497,110</u>
	1,637,778	535,958
Less : Provision for doubtful debts	<u>38,298</u>	<u>34,552</u>
	<u>1,599,480</u>	<u>501,406</u>
Particulars of Debt :		
Unsecured - Considered Good	1,599,480	501,406
Considered Doubtful	38,298	34,552

SCHEDULES FORMING PART OF THE BALANCE SHEET

	As at 31.03.2009	(Rs. '000) As at 31.03.2008
11. CASH & BANK BALANCES		
Cash & Stamps in Hand	1,525	1,203
Cheques / Drafts in Hand		19,565
Balance with Scheduled Banks on :		
(i) Fixed Deposit Accounts	2,788,034	4,765,000
(ii) Current Accounts	205,244	500,456
(iii) Margin Money	—	2,177
	<u>2,993,278</u>	<u>5,267,633</u>
	<u>2,994,803</u>	<u>5,288,401</u>
12. OTHER CURRENT ASSETS		
Interest Accrued on :		
- Loans/ Advances/ Deposits and Others	111,588	68,500
Less : Provision	150	150
	<u>111,438</u>	<u>68,350</u>
13. LOANS AND ADVANCES		
Loans	1,705	13,571
Advances Recoverable in Cash or in kind or for Value to be Received	1,261,588	249,535
Claims Recoverable	72,218	257,502
Deposits	615,963	1,086,527
Balance with Customs, Port Trust etc.	<u>1,148,958</u>	<u>468,977</u>
	3,100,432	2,076,112
Less : Provision for Doubtful Advances and Claims	895,019	910,867
	<u>2,205,413</u>	<u>1,165,245</u>
Particulars of Loans & Advances :		
Considered Good - Secured	1,705	2,380
- Unsecured	2,203,708	1,162,865
Considered Doubtful	895,019	910,867
Note : Amount due from Director	180	—
Amount due from an Officer	—	—
Maximum amount due at any time during the year from : - Director	180	—
- Officer	—	—

SCHEDULES FORMING PART OF THE BALANCE SHEET

	As at 31.03.2009	(Rs. '000) As at 31.03.2008
14. CURRENT LIABILITIES & PROVISIONS		
Current Liabilities :		
Sundry Creditors - Goods	1,376,889	2,317,976
Sundry Creditors - Others	561,731	514,071
Sundry Creditors - SSI Units	35,740	47,202
Security & Earnest Money Deposits	213,169	252,500
Grants-in-Aid	17,710	134,123
Other Liabilities	1,821,481	795,126
Interest Accrued but not due on Loans	695	5,224
	<u>4,027,415</u>	<u>4,066,222</u>
Provisions :		
Wealth Tax	8,287	8,287
Income Tax	750,500	690,700
Others (Note 10 on Schedule 24)	<u>1,112,925</u>	<u>1,198,792</u>
	<u>1,871,712</u>	<u>1,897,779</u>
	<u>5,899,127</u>	<u>5,964,001</u>

SCHEDULES FORMING PART OF PROFIT & LOSS ACCOUNT

	(Rs. '000)	
	2008-09	2007-08
15. OTHER INCOME		
Sale of Scrap	47,283	21,754
Profit on sale of Fixed Assets (net)	16,840	98,520
Profit on sale of Stores (net)	1,665	
Interest :		
- On Loans,Advances,Deposits etc. (including Tax Deducted at Source Rs.56,951 thousand, Previous Year Rs.82,224 thousand)	342,212	383,101
- Received from Customers	51,507	42,892
Claims	5,922	3,784
Provisions written back	155,754	122,125
Gain on Exchange Fluctuation	-	287,955
Conversion Charges	59,193	45,690
Miscellaneous	405,177	78,990
	<u><u>1,085,553</u></u>	<u><u>1,084,811</u></u>
16. INCREASE/(DECREASE) IN STOCK OF FINISHED GOODS, SEMI-FINISHED & IN-PROCESS		
Opening stock :		
Finished Goods	486,018	370,212
Semi-Finished and In- Process	2,562,540	2,248,628
Total Opening Stock	<u><u>3,048,558</u></u>	<u><u>2,618,840</u></u>
Closing stock :		
Finished Goods	44,442	486,018
Semi-Finished and In-Process	1,870,269	2,562,540
Total Closing Stock	<u><u>1,914,711</u></u>	<u><u>3,048,558</u></u>
Increase / (Decrease)	<u><u>(1,133,847)</u></u>	<u><u>429,718</u></u>
17. MATERIALS, SPARES & COMPONENTS		
Raw Materials Consumed	4,011,617	6,059,688
Stores, Spares & Tools Consumed	928,820	795,241
Value of Ore raised during mine development	55,538	67,528
	<u><u>4,995,975</u></u>	<u><u>6,922,457</u></u>
18. EMPLOYEES' REMUNERATION & BENEFITS		
Salaries, Wages & Allowances	1,490,812	1,389,794
Arrear Salaries,Wages & Allowances (from 01.12.1999 to 31.07.2002 Previous year - from 01.08.2002 to 31.07.2003)	308,037	169,995
Bonus/Ex-gratia	21,127	32,714
Contribution to Provident & Other funds	119,734	154,227
Workmen & Staff Welfare	138,828	138,891
Gratuity	67,653	249,228
V R S Expenses	-	17,692
Less : Transfer from Grant-in-Aid	-	17,692
	<u><u>-</u></u>	<u><u>-</u></u>
	<u><u>2,146,191</u></u>	<u><u>2,134,849</u></u>

SCHEDULES FORMING PART OF PROFIT & LOSS ACCOUNT

		(Rs. '000)
	2008-09	2007-08
19. OTHER EXPENSES OF MANUFACTURING, ADMINISTRATION, SELLING & DISTRIBUTION		
Power, Fuel & Water	1,744,143	1,851,653
Repairs :		
Building	9,677	14,444
Plant & machinery	109,020	82,515
Others	120,614	93,889
	239,311	190,848
Major Overhaul Expenditure	131,314	6,342
Royalty, Cess & Decretal amount	262,482	329,963
Insurance	11,848	11,151
Rent	5,163	20,723
Rates & Taxes	54,802	87,780
Directors' Fees	210	55
Remuneration to Auditors :-		
Audit Fees :		
- Statutory Audit Fees	429	482
- Tax Audit Fees	137	154
- Other Capacity	449	472
- For Expenses	177	909
	1,192	2,017
- Cost Audit Fees	60	60
- For Expenses	5	11
	65	71
- Internal Audit Fees	90	-
- For Expenses	102	-
	192	-
Handling & Transportation	356,898	373,994
Guarantee Fees	11,250	27,828
Commission	7,020	44,444
Loss on Exchange Fluctuation	163,887	-
Loss on Sale of Stores (net)	-	25,304
Tolling Charges-(Copper bearing material)	174,884	72,115
Miscellaneous	758,873	415,211
	3,923,534	3,459,499

SCHEDULES FORMING PART OF PROFIT & LOSS ACCOUNT

	(Rs. '000)	
	<u>2008-09</u>	<u>2007-08</u>
20. INTEREST		
14.5% Government of India Loan	–	22,803
Cash Credit	9,146	2,524
7.5% Corporate Term Loan	8,530	101,936
14% Debentures	–	8,657
Others	50,473	144,185
	<u>68,149</u>	<u>280,105</u>
21. PROVISIONS, LOSSES & WRITE OFF		
Provisions for :		
- Stores Discrepancies	13,213	151
- Doubtful Debts, Advances & Claims etc.	15,541	418,733
- Loss of Fixed Assets	807	48
- Capital Work-in-Progress	–	10,871
- Non-moving / Obsolete stock / Spares	1,057	34,489
- Mining lease	–	1,209
- Finishe Stock & WIP	10,871	–
	<u>41,489</u>	<u>465,501</u>
22. PRIOR YEARS' NET DEBITS / (CREDITS)		
Debits :		
Raw Materials, Stores & Tools Consumed	–	4,218
Power & Fuel	–	1,533
Repairs and Maint. Plant and Machinery and Others	–	17,274
Depreciation	29	1,618
Handling and Transportation Charges	–	689
Workmen and Staff Welfare	–	2,525
Interest	257	4,145
Rebate & Discount	1,242	–
Miscellaneous Expenses	1,169	44,290
	<u>2,697</u>	<u>76,292</u>
Credits :		
Miscellaneous Income	116,921	267
	<u>116,921</u>	<u>267</u>
Net Debit / (Credit)	<u>(114,224)</u>	<u>76,025</u>

SCHEDULES FORMING PART OF THE ACCOUNTS

23 SIGNIFICANT ACCOUNTING POLICIES

1. BASIS OF ACCOUNTING :

The financial statements are prepared under historical cost convention from the books of account maintained on an accrual basis and in accordance with the Accounting Standards issued by the Institute of Chartered Accountants of India.

2. USE OF ESTIMATES :

Financial statements have been prepared based on in-house technical estimates in respect of the following:

- Allocation of service shaft expenses, underground mining expenditure between revenue and capital.
- Metal content in raw materials, WIP and finished goods.
- Credit of anode scrap generation in refinery plants.
- Mineable ore reserves in underground mines.
- Stripping ratio in open cast mines.

3. FIXED ASSETS :

3.1 Fixed assets are recorded at cost net of CENVAT and VAT credit wherever applicable less accumulated depreciation and impairment loss, if any.

3.2 Pending reconciliation/receipt of the final bills against capital items, capitalization is done on the basis of cost booked and depreciation is charged accordingly. Price differences, if any, are adjusted in the year of finalization of bills.

3.3 In respect of expenditure during construction of a new unit in a new location, all direct capital expenditure as well as all indirect expenditure incidental to construction are capitalized allocating to various items of fixed assets on an appropriate basis. Expansion programme involving construction concurrently run with normal production activities in an existing unit, all direct capital expenditure in relation to such expansion are capitalized but indirect expenditure are charged to revenue.

3.4 Expenses incurred for implementation of new projects are carried forward against respective projects till execution. Expenses rendered infructuous on projects abandoned subsequently are provided in the Profit & Loss Account.

3.5 Physical verification of fixed assets is carried out once in every five years. Shortage/excess, if any, is provided for in the year of identification.

4. DEPRECIATION :

Depreciation on fixed assets is provided on straight line method at the rates prescribed in schedule XIV to the Companies Act, 1956. Depreciation on assets acquired prior to 01.04.93 is charged on derived rates by allocating the unamortized value over the remaining life arrived at on the basis of rates prescribed under the Schedule XIV to the Companies Act, 1956. Depreciation in respect of plant & machinery and building of new project is charged from the date of commercial production.

5. GRANTS-IN-AID :

Fixed assets acquired out of funds provided by the Government by way of grants-in-aid are stated in the books at cost less depreciation and special reserve created for the same is apportioned over the life of the assets by transfer to profit and loss account.

SCHEDULES FORMING PART OF THE ACCOUNTS

6. IMPAIRMENT OF ASSETS :

The Company reviews the carrying amount of its fixed assets, whenever circumstances indicate that the carrying amount of the asset is less than the realizable value. The Company assesses recoverability of the carrying value of the assets by grouping assets of entire one plant as Cash Generating Unit (CGU). The Company then estimates the discounted future cash flows expected to result from CGU. If the estimated discounted future cash flow expected to result from the use of the asset are less than its carrying amount, the asset is deemed to be impaired. The amount of impairment is measured as the difference between the carrying value and fair market value.

7. MINE DEVELOPMENT EXPENDITURE :

7.1 In case of underground mines : The expenditure on development of a new mine in all cases and on subsequent development of a working mine in specified cases is capitalized and amortized on the basis of ore raised during the year and the mineable ore reserves estimated from time to time. The ore obtained during development activity is adjusted against such expenditure at its derived realizable value.

7.2 In case of working mines, where development activities are going on simultaneously : Expenses are apportioned between capital or revenue on the basis of inhouse technical estimates.

7.3 In respect of open cast mines : The expenditure on removal of waste and overburden, is capitalized and the same is amortized in relation to actual ore production during the year and the stripping ratio of the mine as determined by the company at the weighted average rate.

7.4 Expenditure incurred on exploration of new deposits is included in mine development expenditure. If the exploration activities are found to be not fruitful, the expenditure on such exploratory work included in mine development expenditure is written off in the year in which it is decided to abandon the project.

8. MAJOR OVERHAULING EXPENSES :

The expenditure attributable to major overhaul of smelter/refinery is charged to the Accounts in the year of incurrence.

9. INVENTORIES :

9.1 Stocks of raw materials, stores and spare parts, loose tools and materials-in-transit are valued at cost. Loose tools when issued are charged off to revenue.

9.2 Finished goods and work-in-process are valued at the lower of the net realizable value and weighted average cost to the unit. The cost is exclusive of financing cost, such as, interest, bank charges etc. The value of slag under work in process is taken at equivalent value to the extent credited to the process, where the said products have been generated. The reverts under work-in-process are valued at lower of cost (equivalent value of concentrates) and net realizable value.

9.3 The stock of anode slime arising from treatment and refining processes are stated at realizable value based on the year end London Metal Exchange price for gold and silver after making due adjustments of their physical recovery and the treatment and refining charges.

9.4 Liability for excise duty on finished goods in stock lying at works or warehouses is provided in the accounts and also considered in stock valuation.

SCHEDULES FORMING PART OF THE ACCOUNTS

- 9.5 The inventories out of inter-unit transfers at the close of the year are valued on the basis of cost or net realizable value whichever is lower to the transferor unit. No adjustment is made in respect of difference between the cost and transfer price for such transferred products in case of partly processed materials lying at various stages of production and finished stocks at the end of the year, since this is not practically ascertainable.
- 9.6 Imported materials are valued at weighted average cost. In the event where final price is not determined valuation is made on provisional cost. Variations are accounted for in the year of finalization.
- 9.7 Once in every three years provision is made in the accounts for non-moving stores and spares (other than insurance spares) which have not moved for more than five years.
- 9.8 Scraps are accounted for on realization.
10. **SALES :**
- Sales are net of discounts other than cash discounts.
11. **OTHER INCOME :**
- 11.1 **Claims :** Claims on account of liquidated damages and insurance are accounted for as and when these are realised and/or considered recoverable by the company.
- 11.2 **Conversion charges :** Income from conversion of job work is accounted for on the basis of dispatches made.
- 11.3 **Interest on L/C bills :** Interest up to the date of Balance Sheet on all outstanding bills is accounted for on accrual basis.
12. **RETIREMENT BENEFITS :**
- 12.1 **Gratuity and Leave encashment :** Liabilities towards gratuity and leave encashment to employees as at the end of the year are provided for on the basis of actuarial valuation.
- 12.2 **Deficit in Provident Fund :** Deficit, if any, on account of Provident Fund Trust is accounted for on the basis of accrued liability, as ascertainable on the basis of last accounts closed by the Provident Fund Trust.
13. **BORROWING COST :**
- Interest/finance cost on loans specifically borrowed for new and expansion projects up to the start of commercial production is charged to the capital cost of the projects concerned. All other borrowing cost are charged to revenue.
14. **ACCOUNTING FOR TAXES ON INCOME :**
- Income Tax Expense comprises current tax and deferred tax charge. Deferred Tax is recognized on timing differences, being the difference between Taxable Income and Accounting Income that originate in one period and are capable of reversal in one or more subsequent periods. Deferred Tax assets are recognized only if there is virtual certainty that sufficient future taxable income will be available against which deferred tax assets will be realized. Such balances of Deferred Tax Assets are reviewed as at each Balance Sheet Date to reassess the realisability thereof.

SCHEDULES FORMING PART OF THE ACCOUNTS

15. GENERAL :

- 15.1 Foreign Currency Transactions :** Transactions in foreign currencies are recognized at rates on the date of the transactions are settled. Year-end balances of receivables/payables are translated at applicable forward contract/year-end rates and resultant translation differences relating to fixed assets are adjusted against fixed assets and the balance is recognized in the Profit and Loss Account.
- 15.2 Contingent Liability :** Contingent Liabilities are disclosed in the Notes forming part of the accounts.
- 15.3 Events occurring after the Balance Sheet date :** Assets and Liabilities are adjusted for significant events occurring after the Balance Sheet date that provide additional evidences to assist the estimation of accounts relating to conditions existing at the Balance Sheet date.
- 15.4 Prior Period & Extra Ordinary Items :** (i) The nature and amount of prior period items (ii) extra-ordinary items are separately disclosed in the statement of Profit & Loss in a manner that their impact on the current Profit & Loss can be perceived.
- 15.5 Research and Development Expenditure :** Expenditure on research and development is charged off to Profit & Loss account in the year it is incurred. Expenditure on fixed assets in this regard is capitalized.
- 15.6 Mine Closure Expenditure :** Financial implications towards final mine closure plans under relevant Acts and Rules are technically estimated and the involvement , not being material, are charged off on actual incurrence.
- 16. Voluntary Retirement Expenses :**
- 16.1 Paid out of own fund :** Voluntary Retirement expenditure incurred by the company is charged to revenue over a period of 60 months.
- 16.2 Paid out of Government Grant :** Voluntary Retirement Expenditure is adjusted against Government Grant received for this purpose.

SCHEDULES FORMING PART OF THE ACCOUNTS

24 NOTES ON ACCOUNTS

		(Rs. in crore)	
		<u>2008-09</u>	<u>2007-08</u>
1.	Contingent liabilities not provided for in respect of :-		
a.	Estimated amount of capital commitments	32.40	21.01
b.	Other money for which the company is contingently liable		
i.	Arrear Salary	113.26	59.77
ii.	Sales Tax	5.41	4.16
iii.	Excise Duty	76.41	81.66
iv.	Others	273.05	294.21
2.	There was a trade dispute with M/s Bhagawati Gases Ltd (BGL) in connection with an agreement to supply of gaseous oxygen at Khetri Copper Complex. The dispute was referred to arbitration. The claim of M/s BGL is for an amount of Rs 10.80 crore including interest with a corresponding counter claim of Rs 5.34 crore on the part of the company. The arbitral award has gone against the company. The company has filed an appeal before the Jhun-Jhunu Court and the same was admitted for hearing. Based upon legal opinion obtained from a senior Supreme Court advocate and the Additional Solicitor General of West Bengal, the management considers the arbitral award is not binding on the company. Hence, in accordance with AS 29 on "Provisions, Contingent Liabilities and Contingent Assets" issued by the Institute of Chartered Accountants of India, M/s BGL's claim has been disclosed under 'Contingent liabilities'.		
3.	As per government guidelines vide DOE's OM no.2(70)/08-DPE(WC) dated 26.11.08, 09.02.09, 02.04.09 specifying the revised pay scale, fitment benefit, D.A., formula for calculation of gratuity and other allowance w.e.f. 01.01.2007, Pay Revision for the executives of the company has been approved by the Board of Directors and advised that the proposal be submitted to the Ministry of Mines for seeking necessary govt. clearance and issue of directive before its implementation vide meeting held on 2 nd June 2009. The effective cost has been assessed around as Rs 50.34 crore per annum. In view of above, Rs. 113.26 crore has been shown as Contingent Liability.		
4.	There is a dispute with MP State Electricity Board regarding interest on electricity tariff amounting to Rs.121.87 crore payable at MCP which is pending for long time and the matter is presently referred back to Honorable High Court, Jabbalpur by Honorable Supreme Court of India for reconsideration. The said amount has not been provided as liability in the accounts but disclosed as a contingent liability.		
5.	In absence of lease agreement with the State Government in respect of certain leasehold lands, the amortization has been done for the adhoc payment made so far. In case of certain freehold lands acquired through nationalization in accordance with Indian Copper Corporation (Acquisition of Undertaking) Act, 1972, title deeds, conveyance deed etc. are not under possession of the company.		
6.	An agreement has been entered with a foreign enterprise for re-commissioning and operating & maintaining Surda Mines and Mosaboni Concentrate Plant to supply and deliver entire production of copper concentrate at an agreed price to Moubhandar Workshop at ICC unit. ICC received 3129.30 MT of metal in concentrate from December'07 to March'09. The accumulated Mine Development Expenses of said mines as on 2002-03 for Rs 4.76 crore was provided in the accounts due to cessation of production. Since the commercial production has started, the provisions for Mine Development Expenses for Rs. 4.76 crore made earlier has been reversed during the year as provision no longer required and written back. For information, the estimated net realizable value at a discounted cash flow of 10% amounts to Rs.31.63 crore for 7 years tenure under the above mentioned agreement. The said estimated net realizable		

SCHEDULES FORMING PART OF THE ACCOUNTS

value is more than the amount written back during the year which is in accordance with the guideline of Accounting Standard 28 of Institute of Chartered Accountants of India. (ref. Schedule 15).

7. The Company in the earlier years received Government Grant for separation of employees under Voluntary Retirement Scheme (VRS) for downsizing manpower strength due to unprecedented fall in LME price of copper. The Company utilized the Government Grant in phases after recovering the amount due for gratuity from Life Insurance Corporation (LIC) out of gratuity fund for the employees opted for VRS. Since the above-mentioned grant includes gratuity payable to employees opted for VRS, the fund received from LIC remains undisbursed in grant account. The shortfall in grant fund account with LIC due to premature retirement was made good in the subsequent years by debiting Profit & Loss Account based on actuarial valuation of existing employees at the end of the each year. As a result the credit in government grant account amounting to Rs.11.64 crore is represented by payment of shortfall in Gratuity Fund Account, has been written back as liability no longer required under prior period account. (Refer – Schedule 22).
8. In accordance with the guidelines of AS-28 on “Impairment of Assets” issued by the Institute of Chartered Accountants of India, the Company has assessed the recoverable value of its Cash Generating Units. In the opinion of the management, there is no impairment of assets that require a provision to be made in the accounts for the year under review.
9. The title deeds are yet to be executed in respect of office flat at SCOPE Complex, Delhi and Jaipur office having book value of Rs 0.92 crore. (Previous year Rs. 0.94 crore).
10. At ICC, Pollution Control Plant under Package I & III amounting to Rs 21.00 crore have not been capitalized for want of completion of trial/guarantee run as per terms of the contract. As a matter of prudence, a provision amounting to Rs 16.10 crore upto 2006-07 has been made in the accounts to take care of efflux of time. Since the Plant has not been capitalized till now, a further provision against Capital WIP of Rs.1.09 crore has been made in 2008-09.
11. The balances under the heads Sundry Creditors, Claims Recoverable, Loans, Advances and some of the Sundry Debtors are subject to confirmations.
12. During the year company has implemented ‘Enterprise Resource Planning (ERP)’ with effect from 1st October 2008. In view thereof the balances of various subsidiary ledgers generated from the ERP system are in the process of reconciliation with main ledgers.
13. None of the creditors has been reported as registered under Micro, Small and Medium Enterprise Development Act 2006.
14. The Company has closed/suspended many of its mining operations located at various places, Fertilizer Plant at Khetri in different years due to their uneconomic operations. As per requirement of AS-24 on “Discontinuing Operations” the following information for the year are furnished :

SCHEDULES FORMING PART OF THE ACCOUNTS

(Rs. in crore)
(Previous year figures in brackets)

	MSB GROUP OF MINES	RCP	CCP	DCP	Fertilizer Plant
(i) Initial disclosure event (Year of Closure)	1997 to 2003	2001	2002	1994	2001
(ii) Carrying amount of Assets	No separate records maintained	0.54 (0.54)	– (0.09)	– (–)	No separate records maintained
(iii) Liabilities to be settled		1.91 (1.92)	0.73 (0.73)	0.03 (0.03)	
(iv) Amount of income		– (4.15)	– (0.01)	– (–)	
(v) Amount of expenses		– (2.06)	– (–)	– (–)	
(vi) Gain on sale of assets (Incuded in iv above)		1.56 (2.65)	– (0.47)	– (–)	

15. Due to steep downturn in world copper price, operations at KCC smelter became unviable with imported MIC, and had to be suspended from December, 2008 onwards pending further review. Consequently the previous years figures are not comparable to that extent.
16. Since the company is primarily engaged in the business of manufacture and sale of copper products, the same is considered to be the only primary reportable business segment and accordingly reported. As the Company operates predominantly within the geographical limits of India no secondary segment reporting have been considered as per Accounting Standard "Segment Reporting (AS-17)".
17. Sales for the year include Export Sale of Rs.74.42 crore.
18. Related party disclosure :

Particulars	Key Management Personnel	Total Remuneration (Rs)	
		2008-09	2007-08
Receiving of Services	1. Sri Satish C Gupta CMD	9,68,455.00	8,07,956.00
	2. Sri M Samajpati D(F)	10,55,905.00	6,76,661.00
	3. Sri D Satapathy D(P)	9,98,025.00	7,54,065.00
	4. Sri K D Diwan D(OP)	9,37,087.00	3,87,591.00
	5. Sri R C Singla D(M) (from 18.02.2009)	89,232.00	–

19. The numerators and denominators used to calculate basic and diluted EPS :

(Rs. in crore)

	BASIC	DILUTED
Numerator used : Profit After Tax	–10.31 (246.46)	–10.31 (246.46)
Denominator used: Weighted average number of Equity Shares of Rs.5/- (Previous year Rs 5/- each) outstanding during the year	855535808 (768218000)	962113307 (830324557)

SCHEDULES FORMING PART OF THE ACCOUNTS

20. The Company has accounted for Deferred Tax in accordance with the guidelines of AS-22 on "Accounting for Taxes on Income" issued by The Institute of Chartered Accountants of India. The Deferred tax balances are set out below:-

DEFERRED TAX ASSET (NET) :

(Rs. in crore)

Particulars	Deferred Tax Asset/(Liability) as at 01.04.2008	Credit/(Charge) during 2008-09	Deferred Tax Asset/(Liability) as at 31.03.2009
Deferred Tax Asset :			
Difference between provision made in accounts and claims made as per I.T. Act	103.63	(4.92)	98.71
	103.63	(4.92)	98.71
Deferred Tax Liability :			
Difference between net book value of depreciable capital assets vis-à-vis WDV as per I T Act	(40.77)	(4.35)	(45.12)
	(40.77)	(4.35)	(45.12)
Deferred Tax Asset (Net)	62.86	(9.27)	53.59

21. PROVISIONS FOR CONTINGENCIES :

(Rs. in crore)

PARTICULARS	Discarded Fixed Assets	Capital WIP & Advance	Mines Development Expenditure	Others	TOTAL
Carrying amount as at 01 st April '08	7.71	65.62	51.40	289.47	414.20
Amount provided during the year	–	–	–	667.64	667.64
Amounts utilized against provision	–	–	–	–	–
Unused amounts released during the year	4.90	54.26	4.76	10.12	74.03
Carrying amount as at 31 st March '09	2.82	11.36	46.65	946.99	1007.82

22. GRATUITY AND OTHER POST-EMPLOYMENT BENEFIT PLANS :

The Company has a defined benefit gratuity plan. Every employee who has completed five years or more of service gets a gratuity on departure at 15 days salary (last drawn salary) for each completed year of service. The scheme is partially funded through Life Insurance Corporation of India and SBI Life. A provision of Rs.14.18 crores in respect of Gratuity, Leave Encashment and Leave Travel Concession has been made as stated below.

The following tables summarize the components of net benefit expense recognized in the profit and loss account and the funded status and amounts recognized in the balance sheet for the respective plans.

SCHEDULES FORMING PART OF THE ACCOUNTS

(Rs. in crore)

	Gratuity (Funded plan)	Leave Encashment (Non-funded plan)	Leave Travel Concession (Non-funded plan)
(i) Change in Defined Benefit Obligation			
Opening defined benefit obligation	85.14	30.53	
Current service cost	5.10	7.51	
Interest cost	6.36	2.29	
Benefits Paid	0.79	–	
Actuarial gain/(loss)	(2.60)	(1.90)	
Closing defined benefit obligation	93.21	38.44	
(ii) Change in Fair Value of Assets			
Opening fair value of plan assets	27.29		
Expected return on plan assets	2.18		
Actuarial gain/(loss)	0.62		
Contributions by employer	6.00		
Benefits paid	0.79		
Closing fair value of plan assets	35.31		
(iii) Amount recognized in the Balance Sheet			
Opening Net Liability	57.85	–	–
Expenses Recognized	6.05	7.91	0.22
Contributions	6.00	–	–
Closing Net Liability	57.90	7.91	0.22
Closing Fund/Provision at end of year	93.21	38.44	1.91
(iv) Expenses recognized in the Profit and Loss Account			
Current service cost	5.11	7.51	0.22
Interest cost	6.36	2.29	–
Expected Return on Plan Asset	2.18	–	–
Net actuarial gain/loss recognized in the current year	(3.21)	(1.90)	–
Expenses Recognized as on 31.03.2009	6.05	7.91	0.22

23. The physical verification of stores and spares have been carried out during the year as a perpetual process. Discrepancies identified on physical verification are duly adjusted in the books of accounts.
24. Liabilities appearing in respect of old sundry creditors has been reviewed by a reputed firm of Chartered Accountants during the year. After detailed study a sum of Rs 11.96 crore was found to be arising from wrong adjustment / unidentified sundry creditors. The above amount has been written back during the year as liability no longer required. (Refer Schedule 15)
25. Work in Process includes stock worth Rs 27.40 crore lying with third party.
26. Previous year's figures have been regrouped/rearranged wherever necessary.

Annexure (Refer Note No. 7 in Schedule No. 24)

The following are the names of SSI units to whom the Company owes any sum, which is outstanding for more than 30 days as on 31.03.2009

Sl. No.	Name of Party	Principal Amount Outstanding as on 31.03.2009 (Rs)	Principal Amount Outstanding as on 31.03.2008 (Rs)
1	Atlas Industrial Corporation	105312.65	107743.68
2	Ashoka Machine Tools	55482.50	261865.85
3	Amruta Industries	995748.08	993317.05
4	Ankit Industrial Gases (P)Ltd	1210194.70	1324431.91
5	Alpha Carbon Brash Manufacturing Co	33195.88	51926.88
6	Anjana Minerals Pvt Ltd	25264.45	31027.63
7	Aparna Enterprises	22783.24	73591.06
8	Applo Batteries	1144.02	
9	American Rubber Manufacturing Co	29645.00	
10	Anmol Printing Press		4920.56
11	Arihant Castings	1211850.00	1211850.00
12	Aman Conveyor Roller Industry	10409.00	11553.02
13	Arudra Engineers Pvt Ltd	2167.00	33027.00
14	Ayyappa Engineering	352907.09	280619.88
15	Associted Pneumatic Industries	133782.94	141868.68
16	Bengal Rubber Manufacturing Ltd	36150.84	33920.03
17	Bharat Engineering & Manufacturing Co	243631.92	241631.25
18	Bharat Minerals	5283.00	
19	Bharat Wood Works		1705311.00
20	Bihar Steel Production	277897.92	279898.59
21	Cee Dee Industries	21721.00	5687.00
22	Central Engineering Concern	104340.00	
23	Chota Nagpur Foundry Ltd	565442.99	1155984.49
24	Chota Nagpur Chemical Industries		115757.49
25	Courtesy Printers	9248.67	9562.04
26	Diamet Enterprises	71831.94	
27	Deepak Engineering Co	207194.84	279063.19
28	Deepak Engineering Works	1285970.23	4381409.99
29	Denish Engineering Works		806086.41
30	Dil Industries		22056.25
31	Engineering Enterprises	503366.00	973416.42
32	Flow Creators	2141.74	
33	Foundry of India	1022211.65	1021311.29
34	Friends Engineering Corporation	14142.38	
35	Gajalaxmi Iron Works	69673.63	135446.60
36	Giriraj Hydraulics (P) Ltd	370566.00	117460.00
37	Glaxy Foundries (P) Ltd	250754.95	283473.59
38	Goel Industries	119101.98	149975.44
39	Hind Engineering & Traders		76738.51
40	Howrah Machinery Works	622471.38	631471.50
41	Hydrokrimp A.C. (P) Ltd	28752.60	41736.81

Annexure (Refer Note No. 7 in Schedule No. 24)

Sl. No.	Name of Party	Principal Amount Outstanding as on 31.03.2009 (Rs)	Principal Amount Outstanding as on 31.03.2008 (Rs)
42	Iemco Industries Ltd	61012.84	
43	IGP Engineer (P) Ltd	229466.00	229566.36
44	Indo Industrial Services	28155.04	29480.69
45	Indra Udyog		81944.00
46	Inicorp Industries		95163.64
47	Iqbal Brothers (P) Ltd	183.30	82.94
48	Industrial Mining Tools Co		6475.94
49	Industan Cotton Industry		6.00
50	Jairam Engineering Works	615.34	
51	Jhonson Rubber	26355.00	8920.33
52	J E Thermit	36921.00	
53	K.N.Welding & Engineering Works	252260.35	1307949.35
54	Kedia Alam & Chemicals	177217.00	39176.50
55	Kamal Industrial Concern	201950.50	234848.83
56	Kiran Metal Works	223.86	
57	K.K.Rubber (I) Pvt Ltd	24256.00	44256.00
58	Krishna Welding & Repairing Shop	114175.47	96291.84
59	Kwality Engineering Works		74624.00
60	K M Udyog	14321.00	
61	Laxmi Chemical	14950.23	14563.24
62	Leader Engineering Works		806.00
63	Laxmi Polyplast Industries		313448.00
64	M.A.S. Industries	94486.00	146486.04
65	Metreat Products	187168.00	216899.01
66	Meghna Industries Pvt Ltd		274.73
67	Mecha-Tech Industries	3286.44	130519.44
68	Mineral Processing Works		10339.87
69	Modern Rubber Products	33216.60	
70	Maheswari Lime Works	19924.84	
71	Mohotta Fasteners	271.24	
72	Mechano Rubber & Allied Industries		5132.00
73	Microtek International	94700.00	172926.00
74	Nagpur Engineering Works		15209.61
75	Navbharat Explosives Co	733912.21	789139.51
76	Nabin Engineering Works	3759.00	
77	Orlience Engineering Enterprises	362907.20	384851.20
78	Pneumatic Sales Corporation	2567.48	32567.48
79	Polypack India Manufacturing Co	30429.00	429.00
80	Presidency Rubber Mills	6011.80	5280.80
81	Pradip Rubber Industries	39085.37	26750.00
82	Precision Engineering Works	104824.22	90729.22
83	Premier Rubber Mills	2113954.05	753703.58
84	Polymold Products	30529.20	
85	Podder Industries	20939.10	

Annexure (Refer Note No. 7 in Schedule No. 24)

Sl. No.	Name of Party	Principal Amount Outstanding as on 31.03.2009 (Rs)	Principal Amount Outstanding as on 31.03.2008 (Rs)
86	Print Well		68303.63
87	R K Industries	5458960.89	173989.31
88	R K Enterprises	11642.50	
89	Refractory Specialist	131689.57	109789.00
90	Rollick Industries	32880.38	300079.07
91	R K Ball Bearing Manufacturing Co	1232.00	21232.00
92	Rishi Industries	62332.00	
93	Safma Fibre Galaxy	6111.11	
94	Sharma Engineering Works		683680.00
95	Shree Jagannath Ferro Castings		780028.98
96	Shree Narayana Pipe Manufacturing Co	16156.00	
97	Sunshine Conveyors (P) Ltd	36950.00	
98	Siva Metal Industries		1350791.98
99	Spair Enterprises	251890.61	253950.24
100	Starling Engineering Works		71876.84
101	Subarnarekha Enterprises	2440257.62	1875658.56
102	Suman Industrial Corporation	108457.87	128196.07
103	Suyog Chemicals	114106.61	394494.20
104	Singhbhub Refractories	98995.49	6111.11
105	Satyanarayan Iron Works (P) Ltd	171045.47	7835845.47
106	Small Tools & Allied Manufacturing Co	1485.00	
107	Shivani Alloy Steel Casting (P) Ltd	561264.00	
108	Talcem Castings		89865.33
109	Thejo Engineering Services		4184898.36
110	Tirupati Engineering Works		298190.47
111	The National Small Industries		2766247.00
112	Trivine Engineering Works		279.00
113	Toshniwal Process Instruments (P) Ltd	5235.00	
114	Textile Mill Stores	143754.00	
115	Unicast Engineering		102400.30
116	Unik Engineers	96451.00	404446.00
117	Utkal Moulders	6188024.00	108277.98
118	Vulcan Industrial Engineering Co	1001184.00	2064955.00
119	Vikrant Ropes (P) Ltd	28773.13	
120	Wood Roll	173032.00	774715.00
		<u>32227727.14</u>	<u>47202283.14</u>

SCHEDULES FORMING PART OF THE ACCOUNTS

24. NOTES ON ACCOUNTS (*Contd.*) :

Additional information forming part of accounts for the year ended March 31, 2009

24.1 Capacities, production, stocks and sales

Class of goods	Unit	Licenced capacity	Installed capacity (As certified by management)	Actual production
Manufacturing Activities				
a : Main products				
1. Wire bar	MT	39400	39400	–
	„	(39400)	(39400)	(–)
2. Wire rod	MT	60000	60000	33410
	„	(60000)	(60000)	(42536)
3. Cathode including	MT	47500	47500	30036
Toll Smelted Cathode	„	(47500)	(47500)	(44734)
b : By products				
1. Gold	KG	264	698	0
	„	(264)	(698)	(–)
2. Silver	KG	4763	9868	0
	„	(4763)	(9868)	(–)
3. Nickel sulphate	MT	250	390	0
	„	(250)	(390)	(–)
4. Selenium	KG	10000	14600	0
	„	(10000)	(14600)	(–)
5. Sulphuric acid	MT	236000	236000	27316
	„	(236000)	(236000)	(41990)

SCHEDULES FORMING PART OF THE ACCOUNTS

Year 2008-2009

(Figures in brackets pertain to those of previous year)

Opening Stock		Closing Stock		Sales		Issued for internal consumption/ intermediate products and others Quantity
Quantity	Value	Quantity	Value	Quantity	Value	
	Rs '000		Rs '000		Rs '000	
0	97	0	90	19	4636	-19
(-)	(95)	(-)	(97)	(-)	(-)	(-)
161	60428	191	44363	33336	10677468	44
(3)	(910)	(161)	(60428)	(42378)	(16228042)	(1)
854	251941	417	66625	2359	912337	28115
(1230)	(325365)	(854)	(251941)	(3006)	(1187016)	(42105)
0	48	0	49	0	0	0
(-)	(35)	(-)	(48)	(-)	(-)	(-)
0	2	0	1	0	0	0
(-)	(1)	(-)	(2)	(-)	(-)	(-)
6	478	6	478	0	0	0
(6)	(478)	(6)	(478)	(-)	(-)	(-)
0	0	0	0	0	0	0
(-)	(-)	(-)	(-)	(-)	(-)	(-)
3179	27172	3485	3621	23819	116890	3191
(7524)	(14639)	(3179)	(27172)	(42187)	(198216)	(4147)

SCHEDULES FORMING PART OF THE ACCOUNTS

24. NOTES ON ACCOUNTS (*Contd.*) :

Additional information forming part of accounts for the year ended March 31, 2009

24.1 Capacities, production, stocks and sales

Class of goods	Unit	Licenced capacity	Installed capacity (As certified by management)	Actual production
c : Allied and semi-finished products				
1. Anode slime	MT	NA	–	68
	”	(NA)	–	(81)
2. Copper mould	MT	NA	–	0
	”	(NA)	–	(–)
3. Kyanite	MT	NA	–	0
	”	(NA)	–	(–)
4. Others	MT	NA	–	
	”	(NA)	–	
G R A N D T O T A L				

Note :

* Opening stock includes value of Sulphuric Acid Rs 22251 thousand, Cathode Rs 29945 thousand, Anode Mould Rs 4823 thousand and Anode Slime Rs 38465 thousand which are shown in Work-in-Progress.

** Closing stock includes value of Sulphuric Acid Rs 3621 thousand, Cathode Rs 66625 thousand, Gold Rs 49 thousand, Silver Rs 1 thousand, Copper Sulphate Rs 2156 thousand, Anode Slime Rs 85630 thousand, Anode Mould Rs 9286 thousand, Wire Bar Mould Rs 11 thousand, Nickel Sulphate Rs 478 thousand and Kyanite Rs 8 thousand which are shown in Work-in-Progress.

SCHEDULES FORMING PART OF THE ACCOUNTS

Year 2008-2009

(Figures in brackets pertain to those of previous year)

Opening Stock		Closing Stock		Sales		Issued for internal consumption/ intermediate products and others Quantity
Quantity	Value	Quantity	Value	Quantity	Value	
	Rs '000		Rs '000		Rs '000	
26	172886	14	85630	80	529390	0
(19)	(124755)	(26)	(172886)	(75)	(596422)	(-1)
54	4824	53	9286	0	0	1
(51)	(4529)	(54)	(4823)	(-)	(-)	(-4)
13	8	13	8	0	0	0
(13)	(8)	(13)	(8)	(-)	(-)	(-)
	63620		2156		1250280	
	(22405)		(63620)		(188214)	
581502 *		212307 **		13491000		
(493220)		(581502)		(18397910)		

SCHEDULES FORMING PART OF THE ACCOUNTS

24. NOTES ON ACCOUNTS (*Contd.*)

Additional information forming part of accounts for the year ended March 31, 2009

24.2 Raw materials consumed

	Quantity		Value	
	2008-2009 MT	2007-2008 MT	2008-2009 (Rs '000)	2007-2008 (Rs '000)
Concentrate own production	114793	143800	4047416	7439201
Concentrate excluding own production	35317	65617	2997589	5538321
Cathode	5516	627	1011731	214219

24.3 Imported and indigenous raw materials, stores, spare parts and components consumed (as certified by the management)

RAW MATERIALS :	%	%		
Imported	74.78	96.46	2999886	5845469
Indigenous	25.22	3.54	1011731	214219
	<u>100.00</u>	<u>100.00</u>	<u>4011617</u>	<u>6059688</u>

STORES & SPARES :

(Direct and Stores & Spares booked in Mine Development, Shut-down and Power & Fuel)

Imported	0.72	2.09	15581	30903
Indigenous	99.28	97.91	2134183	1450896
	<u>100.00</u>	<u>100.00</u>	<u>2149764</u>	<u>1481799</u>

24.4 C.I.F. value of imports

Raw Material	2999886	5850489
Components, spare parts and stores	20408	29827
Capital goods	8329	10567
	<u>3028623</u>	<u>5890883</u>

24.5 Expenditure in foreign currency

Technical Know-how	43376	7797
Travelling	730	2343
Advertisement	0	0
Professional consultation fees	33402	13695
Others	0	154
	<u>77508</u>	<u>23990</u>

SCHEDULES FORMING PART OF THE ACCOUNTS

24. NOTES ON ACCOUNTS (*Contd.*)

Additional information forming part of accounts for the year ended March 31, 2009

	<u>2008-2009</u>	<u>2007-2008</u>
	<u>(Rs '000)</u>	<u>(Rs '000)</u>
24.6 Earning in foreign exchange		
Exports of goods (FOB)	752153	754602
	<u>752153</u>	<u>754602</u>
24.7 Payment to Whole-time Directors		
Salaries and allowances	3559	2280
Company's contribution to Provident and other funds	380	266
Re-imbursement of medical expenses	46	80
Leave encashment	64	–
Gratuity	–	–

NOTE :

In addition the Whole-time Directors are allowed the use of company car for private purpose and have been provided with residential accomodation as per terms of their appointment/Government guidelines and the charges are recovered at the rates prescribed by the Government.

BALANCE SHEET ABSTRACT AND COMPANY'S GENERAL BUSINESS PROFILE

Amount in Rs. '000

I. Registration Details

Registration No.

2	8	8	2	5
---	---	---	---	---

 State Code

2	1
---	---

Balance Sheet Date

3	1	0	3	0	9
---	---	---	---	---	---

II. Capital Raised during the Year

Public Issue

N	I	L
---	---	---

 Rights Issue

N	I	L
---	---	---

Bonus Issue

N	I	L
---	---	---

 Private Placement

N	I	L
---	---	---

III. Position of Mobilisation and Deployment of Funds

Total Liabilities

1	0	0	3	9	3	4	2
---	---	---	---	---	---	---	---

 Total Assets

1	0	0	3	9	3	4	2
---	---	---	---	---	---	---	---

Sources of Funds

Paid-Up Capital

4	6	2	6	0	9	0
---	---	---	---	---	---	---

 Reserves & Surplus

5	0	5	2	8	7	7
---	---	---	---	---	---	---

Secured Loans

2	3	0	3	0
---	---	---	---	---

 Unsecured Loans

3	3	7	3	4	5
---	---	---	---	---	---

Application of Funds

Net Fixed Assets

5	8	9	1	8	8	2
---	---	---	---	---	---	---

 Investments

1	7
---	---

Net Current Assets

3	6	1	1	5	6	6
---	---	---	---	---	---	---

 Deferred Tax Assets

5	3	5	8	7	7
---	---	---	---	---	---

Accumulated Losses

-

 Misc. Expenditure

-

IV. Performance of Company

Turnover

1	4	5	7	6	5	5	3
---	---	---	---	---	---	---	---

 * Total Expenditure

1	4	5	2	1	6	9	2
---	---	---	---	---	---	---	---

Profit/(Loss) Before Tax

5	4	8	6	1
---	---	---	---	---

 Profit/(Loss) After Tax

(1	0	3	0	8	7)
----	---	---	---	---	----

Earning Per Share (in Rs.) Dividend rate %

N	I	L
---	---	---

- Basic (0.12)

- Diluted (0.11)

* includes Other income

V. Generic Names of Three Principal Products / Services of Company

(i) Item Code No. (ITC Code)

7403.12

Product Description Copper Wire Bar

(ii) Item Code No. (ITC Code)

7407.10

Product Description Copper Wire Rod

(iii) Item Code No. (ITC Code)

7403.11

Product Description Refined Copper Cathode

CASH FLOW STATEMENT

FOR YEAR ENDED 31st MARCH 2009

(Rs. '000)

	Year ended 31st March 2009	Year ended 31st March 2008
A. CASH FLOW FROM OPERATING ACTIVITIES :		
NET PROFIT/(LOSS) BEFORE TAX AS PER PROFIT AND LOSS ACCOUNT	54,861	3,024,959
Adjusted for :		
Depreciation	188,220	158,423
Provisions charged	41,489	465,501
Provisions written back	(155,754)	(122,125)
Interest charged	68,149	280,105
Amortisation	549,004	660,493
Interest income	(393,719)	(425,993)
Net prior year adjustments	(114,224)	76,025
Voluntary Retirement expenditure written off	-	17,692
Grant in Aid from Govt. of India utilised	-	(17,692)
Gain on disposal of fixed assets	(16,840)	(98,520)
OPERATING PROFIT/ (LOSS) BEFORE WORKING CAPITAL CHANGES	221,186	4,018,868
Adjusted for :		
Decrease/(Increase) in Trade & other Receivables	(1,101,820)	(57,107)
Decrease/(Increase) in Inventories	1,247,321	248,966
Increase in Loans & Advances	(586,584)	(805,408)
Increase/(Decrease) in Trade Payables & Provisions	(42,438)	(182,578)
CASH GENERATED FROM OPERATIONS	(262,335)	3,222,741
Net Prior period adjustments	(114,224)	(76,025)
Taxes paid	(443,236)	(185,706)
CASH FLOW FROM OPERATING ACTIVITIES BEFORE EXTRA ORDINARY ITEMS	(591,347)	2,961,010
Expenditure on Voluntary Retirement	-	(17,692)
NET CASH FROM OPERATING ACTIVITIES AFTER EXTRA ORDINARY ITEMS (A)	(591,347)	2,943,318
B. CASH FLOW FROM INVESTING ACTIVITIES :		
Purchase of Fixed Assets	(512,552)	(313,155)
Sale of Fixed Assets	18,859	130,916
Interest received	350,631	376,990
Mine Development Expenditure	(712,052)	(897,875)
NET CASH USED IN INVESTING ACTIVITIES (B)	(855,114)	(703,124)
C. CASH FLOW FROM FINANCING ACTIVITIES		
Loan from Bank	337,345	-
Redemption of 14.00% Secured Debentures	-	(125,000)
Transfer of Public Deposit with interest to Investor Protection Fund	-	(54)
Repayment of 7.50% Corporate Term Loan	(1,125,000)	(375,000)
Interest paid	(72,678)	(330,174)
NET CASH USED IN FINANCING ACTIVITIES (C)	(860,333)	(830,228)
NET INCREASE IN CASH AND CASH EQUIVALENT (A + B + C)	(2,306,794)	1,409,966
CASH AND CASH EQUIVALENTS - Opening Balance	5,278,567	4,348,601
CASH AND CASH EQUIVALENTS - Closing Balance	2,971,773	5,278,567
(details in Annexure - A)		

For and on behalf of the Board of Directors

C.S.Singhi
Company Secretary
Dated : 22nd August, 2009
Place : Kolkata

K D Diwan
Director (Operations)

M Samajpati
Chairman-cum-Managing Director

CASH FLOW STATEMENT (Contd.)

ANNEXURE - A

		(Rs. '000)
1.	CASH AND CASH EQUIVALENTS - Opening Balance as on	01.04.2008 01.04.2007
	(i) Cash & Bank Balance	5,288,401 4,388,392
	(ii) Cash Credit Balance	(9,834) (39,791)
		<u>5,278,567</u> <u>4,348,601</u>
	CASH AND CASH EQUIVALENTS - Closing Balance as on	31.03.2009 31.03.2008
	(i) Cash & Bank Balance	2,994,803 5,288,401
	(ii) Cash Credit Balance	(23,030) (9,834)
		<u>2,971,773</u> <u>5,278,567</u>
2.	The Cash Flow Statement has been prepared under the "Indirect Method" as set out in Accounting Standard 3 on Cash Flow Statement issued by The Institute of Chartered Accountants of India.	

This is the Cash Flow Statement referred to in our report of even date attached.

For **K. B. CHANDNA & CO.**
Chartered Accountants

V K GUREJA
(M No. 16521)
Partner
Dated : 27th August, 2009

Place : Kolkata

For **RAY & CO.**
Chartered Accountants

SUBRATA ROY
(M No. 51205)
Partner
Dated : 27th August, 2009



HINDUSTAN COPPER LIMITED

Regd. Office : Tamra Bhavan, 1 Ashutosh Chowdhury Avenue, Kolkata - 700019

FOLIO/ID NO	
NO.OF SHARES	

FORM OF PROXY

I/We _____ of _____ being a member/
members of Hindustan Copper Limited hereby appoint _____
of _____ or failing
him _____
of _____ as my/our proxy to
attend and vote for me/us on my/our behalf at the 42nd Annual General Meeting of the Company to be held
on Wednesday, the 30th September, 2009 at 3.30 PM and at any adjournment thereof.

Signed this _____ day of _____ 2009.

Affix one
rupee
Revenue
Stamp

- NOTE : (a) The form should be signed across the stamp as per specimen signature registered with the Company.
- b) The form should be deposited in the registered office of the Company forty-eight hours before the commencement of the meeting.



HINDUSTAN COPPER LIMITED

Regd. Office : Tamra Bhavan, 1 Ashutosh Chowdhury Avenue, Kolkata - 700019

ATTENDANCE SLIP

42nd Annual General Meeting to be held on Wednesday,
the 30th September, 2009 at 3.30 PM at Tamra Bhavan,
1 Ashutosh Chowdhury Avenue, Kolkata - 700 019

NAME OF THE ATTENDING MEMBER
(IN BLOCK LETTERS)

Folio / ID No.

No. of shares held

NAME OF PROXY

(IN BLOCK LETTERS, TO BE FILLED

IN IF THE PROXY ATTENDS INSTEAD OF THE MEMBER)

I hereby record my presence at the 42nd Annual General Meeting held on 30th September, 2009.

Signature of Member/Proxy

THIS ATTENDANCE SLIP DULY FILLED TO BE HANDED OVER AT THE ENTRANCE OF THE MEETING HALL

Comment of the Comptroller and Auditor General of India under Section 619(4) of the Companies Act, 1956 on the accounts of Hindustan Copper Limited for the year ended 31st March 2009.

The preparation of financial statements of Hindustan Copper Limited for the year ended 31st March 2009 in accordance with the financial reporting framework prescribed under the Companies Act, 1956 is the responsibility of the management of the company. The Statutory Auditor appointed by the Comptroller and Auditor General of India under Section 619(2) of the Companies Act, 1956 is responsible for expressing opinion on these financial statements under Section 227 of the Companies Act, 1956 based on independent audit in accordance with the auditing and assurance standards prescribed by their professional body, the Institute of Chartered Accountants of India. This is stated to have been done by them vide their Audit Report dated 27 August 2009.

I, on behalf of the Comptroller and Auditor General of India, have conducted a supplementary audit under Section 619(3)(b) of the Companies Act, 1956 of the financial statements of Hindustan Copper Limited for the year ended 31st March 2009. This supplementary audit has been carried out independently and is limited primarily to inquiries of the Statutory Auditors and the company personnel and a selective examination of some of the accounting records. On the basis of my audit nothing significant has come to my knowledge which would give rise to any comment upon or supplement to Statutory Auditors' report under Section 619(4) of the Companies Act, 1956.

For and on the behalf of the
Comptroller & Auditor General of India

(Sushil Kumar)

Principal Director of Commercial Audit
& Ex-Officio Member Audit Board - I
Kolkata

Place : Kolkata

Dated : 10th September, 2009